

ABANS ELECTRICALS PLC

ANNUAL REPORT 2019/20



Energizing the future

Abans

OUR VISION

ATTRACT AND RETAIN CUSTOMERS FOR LIFE

OUR MISSION

ALWAYS THERE TO SERVE YOU BETTER

- Energizing the future -

The financial year 2019/2020 held many challenges for the entire business community. The tragedy of Easter Sunday destabilised the entire economy and business activities at the beginning of the year, and the year ended with the advent of a global pandemic. While rapidly responding and adapting to this uncertain environment, Abans Electricals PLC energized itself to challenge its own limits and overcome all obstacles in the quest of its vision. We focused on innovative strategies to enhance the existing value creation process, on developing new products and on entering non-conventional markets, energizing the entire nation and energizing the future !

Content

Overview

Financial Highlights	03
Chairperson's Statement	04
Management Discussion and Analysis	05-09

Governance

Board of Directors	10-11
Corporate Governance Report	12-17
Audit Committee Report	18
Remuneration Committee Report	19
Related Party Transaction Review Committee Report	20
Enterprise Risk Management	21-23
Sustainability Report	24

Financial Information

Annual Report of the Board of Directors	25-27
Directors' Responsibility for Financial Reporting	28
Independent Auditors' Report	29-31
Statement of Profit or Loss and Other Comprehensive Income	32
Statement of Financial Position	33
Statement of Changes in Equity	34
Cash Flow Statement	35
Notes to the Financial Statements	36-64

Supplementary Information

Shareholder and Investor Information	65-66
Value Added Statement	67
Five Year Summary	68
Notice of the Meeting	69-70
Form of Proxy	71-72
Form of Attendance	73
Corporate Information	74

		2019/2020	2018/2019	Change %
Operating Results				
Revenue	LKR '000	2,986,136	2,870,558	4.03%
Gross Profit	LKR '000	441,348	397,554	11.02%
Operating Profit	LKR '000	202,539	144,017	40.64%
Profit before Taxation	LKR '000	125,261	76,546	63.64%
Profit after Taxation	LKR '000	86,573	74,344	16.45%
Gross Dividend Paid	LKR '000	15,332	10,221	50.00%
Interest Coverage	No. Times	2.62	2.13	22.79%
Gross Profit Margin	%	14.78	13.85	6.72%
Operating Profit Margin	%	6.78	5.02	35.19%
Net Profit Margin	%	2.90	2.59	11.94%
Financial Position				
Total Assets	LKR '000	3,196,587	2,794,523	14.39%
Total Debt	LKR '000	623,412	632,088	-1.37%
Current Assets	LKR '000	1,476,782	1,234,689	19.61%
Current Liabilities	LKR '000	1,343,238	1,062,520	26.42%
Shareholders' Fund	LKR '000	1,431,475	1,349,651	6.06%
Gearing (D/D+E)	%	30.34	31.90	-4.88%
Current Ratio	No. Times	1.10	1.16	-5.39%
Return on Assets (ROA)	%	2.71	2.66	1.80%
Return on Capital Employed (ROCE)	%	7.97	7.27	9.68%
Shareholder Information				
Return on Equity (ROE)	%	6.05	5.51	9.79%
Earnings per Share	LKR	16.94	14.55	16.45%
Dividend per Share	LKR	3.00	2.00	50.00%
Market Capitalization	LKR '000	308,167	265,749	15.96%
Market Price as at 31st March	LKR	60.30	52.00	15.96%
Price Earnings Ratio (P/E)	No. Times	3.56	3.57	-0.42%
No. Shares	Nos.	5,110,560	5,110,560	0.00%
Net Assets per Share	LKR	280.10	264.09	6.06%

Financial Calendar

1 st Quarter Results 2019/2020	15 th August 2019
Annual Report 2018/2019	26 th August 2019
37 th Annual General Meeting	18 th September 2019
2 nd Quarter Results 2019/2020	30 th October 2019
3 rd Quarter Results 2019/2020	05 th February 2020
4 th Quarter Results 2019/2020	01 st June 2020
38 th Annual General Meeting	23 rd September 2020

Dear Shareholders,

It is my pleasure and privilege to welcome you to the 38th Annual General Meeting of Abans Electricals PLC on behalf of the Board of Directors, and to present the Annual Report and Financial Statements of the Company for the year ending 31st March 2020.

Macro Environment and Company Performance

The year under review commenced on an unfavourable footing, with the Easter Sunday attacks in April 2019. The negative impacts of these attacks were experienced across multiple industries and business sectors, leading to numerous difficulties and struggles in the economy of Sri Lanka. The heightened security measures and weaker consumer confidence that followed, caused consumer spending to decline dramatically and forced many businesses to rethink their strategies and targets. However, consumer sentiments saw a gradual improvement towards the end of 2019, continuing to recover during the December season as well as the first few months of 2020. This hopeful recovery trend faced a dramatic collapse once more, with the unexpected widespread outbreak of COVID-19 in March 2020. An island-wide curfew was imposed henceforth, during which period only businesses classified as 'essential' were given access to continue operations. Therefore, Abans Electricals was forced to temporarily halt both their manufacturing and service operations to fall in line with the current situation. Consequently, the traditional April season sales volumes did not materialise, which had a direct negative impact on the Company's last quarter financials.

In spite of these exceptionally challenging and unpredictable developments, I am pleased to report that the Company has delivered a truly commendable performance. Abans Electricals achieved a profit after tax (PAT) of LKR 86.6 Million, which is a highly satisfactory growth of 16.45% against 2018/2019. This growth in profitability was achieved with a marginal revenue increase of only 4.03% year-on-year, for a total revenue of LKR 2.9 Billion for the year.

This remarkable growth in profitability demonstrated the effectiveness of our backward integration strategy. Over the recent past, Abans Electricals has continued to invest in backward integrating its manufacturing process, by increasing and strengthening the local value addition component. This was coupled with product quality improvements, and further enhanced improvements to after sales services as well. The results have been most satisfactory and the numbers have spoken for themselves on how well our strategy has been executed at operational level. Given the highly unpredictable macro environment in which the Company operated, we are encouraged by the Company's performance and feel confident about the future sustainability of the Company.

Post-COVID Challenges

As a socially responsible corporate entity, we deeply appreciate and commend the immediate and proactive steps taken by the relevant authorities to control the spread of the coronavirus. As a result of the pandemic containment measures, the country has suffered minimum loss of life, and economic activities are gradually recovering with many businesses having resumed operations. Abans Electricals has also resumed its manufacturing and service operations, while adhering strictly to all health and safety guidelines issued by the higher authorities, to ensure safe

and hygienic working conditions for employees, customers and other stakeholders.

Outlook and Plans

While the prevailing uncertainty of evolving macro developments make it difficult to forecast business and market dynamics in the financial year 2020-21, we anticipate a challenging year for the Company and the retail industry as a whole. This is in part due to the strict COVID-19 recovery strategies adopted by the Government. In order to mitigate the negative impacts of the pandemic on the economy, the Government and the Central Bank of Sri Lanka have introduced several initiatives after long discussions. These measures, such as temporary restrictions on importing non-essential goods, restrictions on certain payment modes, and advocating extended credit terms, are not favourable for a rapid recovery of the country's retail sector, which is dependent on imports and cannot afford extended delays in cash flows. In addition, the slowdown of the overall economy has reduced consumer disposable incomes, thereby curtailing consumer demand.

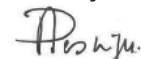
Due to the above constraints, the Company anticipates lower first and second quarter performance, compared to the 2019-20 financial year. However, with the government support measures and recommencement of business activities across the country, we anticipate a gradual recovery in consumer spending, which should be positive for our business.

The Board of Directors and the management are continually monitoring market developments and broader economic, monetary and fiscal policy status in relation to the business, and therefore, expect to adjust existing strategies accordingly. We believe a high degree of flexibility in operational strategies will help mitigate emerging market risks and will allow the Company to respond to evolving market opportunities. Coupled with a strong cost and efficiency focus across operations, I believe our flexible strategies will enable continued business growth, for a positive performance in the new financial year as well. It is also noteworthy that Abans Electricals made a strong comeback following the Easter Sunday attacks to drive growth in 2019. Thus, we are confident that the Company can effect a robust recovery from the negative impacts of COVID-19 as well.

Acknowledgements

During the current period of turmoil, our customers, business partners and other stakeholders continued to stand firmly by the Company. On behalf of the Board of Directors of Abans Electricals PLC, I take this opportunity to thank all our stakeholders, for their loyalty and unwavering support and trust towards the Company. Our current financial performance would not have been possible without the dedication of our motivated and dedicated team. I wish to thank the management team and the staff of Abans Electricals for their valuable and unending contributions towards the success of the Company. Finally, I wish to thank my fellow Board members for their guidance during an extremely challenging year, and I look forward to working together, to continue our success in the new financial year.

Sincerely,



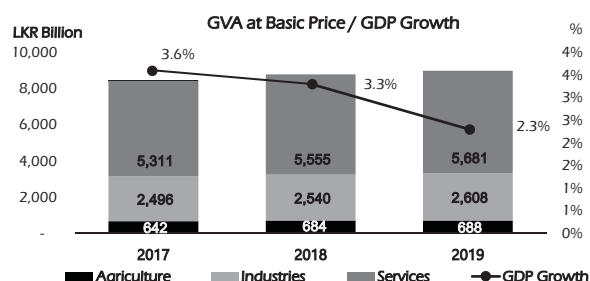
Aban Pestonjee
Chairperson



Sri Lankan Economy

During the year 2019, Sri Lankan economy slowed noticeably. Despite macroeconomic stabilisation measures taken to correct external sector imbalances and although inflation pressures remained subdued on average, a 2.3% growth was recorded in 2019 compared to the 3.3% rate of growth in the previous year. The adverse effects of the Easter Sunday terrorist attacks in April 2019 had a spill over effect across the economy and dampened consumer and investor confidence. However, policy measures taken to revive the economy helped rejuvenate economic activities and improved business sentiments. The conclusion of the Presidential Election in November 2019 and subsequent introduction of several tax relief measures also helped fast track business recovery. However, this gradual recovery was hampered by the outbreak of the COVID-19 pandemic and triggered further uncertainties regarding the country's economic performance in 2020.

The agriculture sector has recorded only a 0.6% growth in 2019, compared to 6.5% in 2018. The extreme weather conditions affected the agriculture sector in 2019, primarily tea, rubber and fisheries. The industry sector recorded a growth of 2.7% in 2019, compared to 1.2% in the previous year. The growth was supported by contributions from several sectors, especially apparel, leather, food & beverage, tobacco, construction and mining. The service sector has recorded a negative growth in 2019 due to the impact of the Easter Sunday attacks on tourism related activities and recorded a 2.3% growth in 2019, compared to 4.6% in 2018. The growth in wholesale and retail trade, telecommunication and IT sectors predominantly supported the service sector growth.



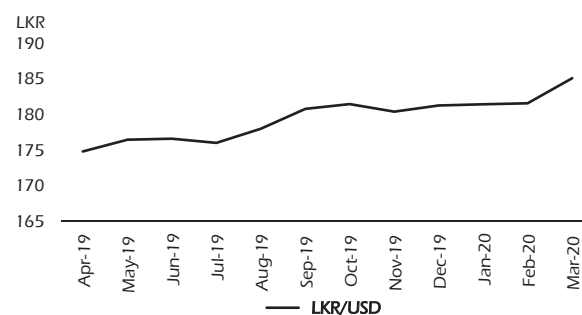
The External Sector

The policies introduced to restrict import expenditure, especially merchandise imports, and the modest growth in export earnings and worker remittances, resulted in a significant improvement in the trade and current account balances, and strengthened the financial account. Significant inflows in 2019, including proceeds of the International Sovereign Bonds (ISBs) and receipts from two tranches of the Extended Fund Facility of the International Monetary Fund (IMFEFF), also supported the national accounts despite the notable debt repayments of 2019, including the settlement of two ISBs and the scheduled repayments on syndicated loan facilities. This situation helped to strengthen the gross official reserves and stabilise the exchange rate.

Rupee Depreciation

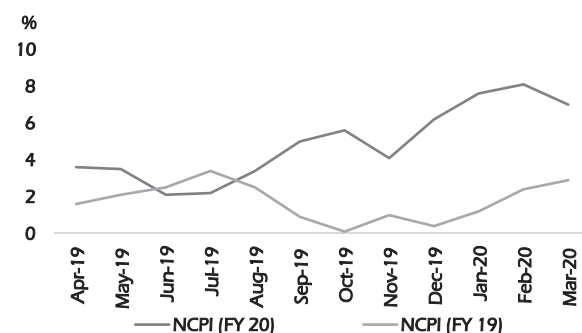
The Central Bank of Sri Lanka continued to follow a market bases exchange rate mechanism during the year as well. The exchange rate recorded a 0.6% marginal appreciation against US Dollar in 2019 due to the significant contraction in the trade deficit, despite the pressure that arose on the domestic

foreign exchange market as a result of the Easter Sunday attack and outflows of foreign investments from the capital market. However, the spread of COVID-19 created significant pressure on the exchange rate. The sharp decrease in tourism earnings due to restrictions on international travel to curtail the spread of the virus, and the reduction in foreign remittance incomes had put significant pressure on the rupee toward the end of March 2020. Consequently, the government and the Central Bank of Sri Lanka introduced several measures, such as non-essential import restrictions, to curtail the excessive pressure on the exchange rate.



Inflation

Both headline and core inflation remained at a mid-single digit range of 4% - 6% during 2019. The adverse weather conditions caused an upward trend in food prices due to shortages of supplies during the second half of the year. However during the 1st quarter of 2020, the inflation has decreased due to declines observed in prices of items in the food category, driven by the seasonal supply of food crops and timely intervention of the government to reduce prices of certain food items amid Covid - 19 outbreak.

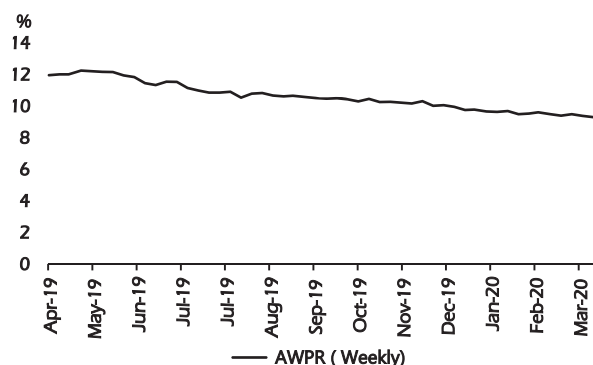


Interest Rates

The Central Bank of Sri Lanka adopted an accommodative monetary policy to support the revival of economic activity and to address the sluggish growth in credit extended to the private sector. Accordingly, the Statutory Reserve Ratio (SRR) was reduced by 2.5% to increase liquidity in the domestic money market in March 2019, and an interest rate ceilings was imposed on deposit products in April 2019. Further, policy interest rates were reduced by 50 basis points each, in May and August 2019 and a ceilings was imposed on market lending rates in September 2019, to boost credit flows to the private sector.

Accordingly, the Average Weighted Deposit Rate (AWDR) declined to 8.20% during 2019. The weekly Average Weighted Prime Lending Rate (AWPR) reduced to 9.74% during 2019. The Average Weighted Lending Rate (AWLR) declined to 13.59% during 2019. Further, during the COVID-19

pandemic, in order to revive economic activities, the Central Bank of Sri Lanka took steps to reduce domestic interest rates.



Consumer Confidence

Consumers tend to buy more consumer products when they have confidence about overall economic conditions. Hence, consumer confidence is a vital factor which affects the demand for consumer products. The slowdown of imports and overall demand, coupled with the slow growth in domestic agriculture activities linked to trade activities, the value addition of wholesale and retail trade activities declined against 2018 by expanding by only 3.0% in 2019, compared 4.7% in 2018.

Financial Capital

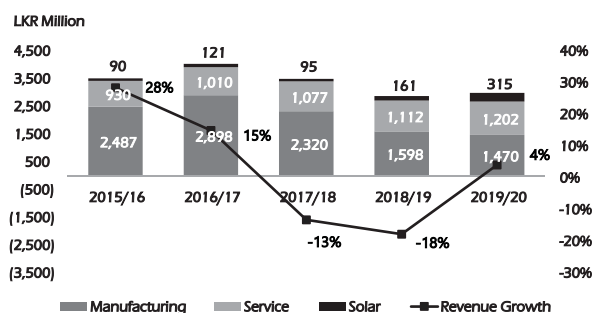
The following discussion and analysis of the financial status of Abans Electrical PLC as at end of the financial year under review, should be read concurrently with the Audited Financial Statements of the Company for the year ended 31st March 2020, to provide a more comprehensive picture.

TOTAL REVENUE

Rs. 2,986 Mn
Growth of 4.03 percent

Revenue

The revenue for the financial year 2019/2020 has increased by 4.03% compared to the financial year 2018/2019. The Company has reported a revenue of LKR 2,986.14 Million for the year under review, against LKR 2,870.56 Million recorded in the previous year. The revenue generated from manufacturing activities decreased by 8.02% in the current financial year to LKR 1,469.64 Million compared to LKR 1,597.84 Million achieved in the previous year. The Easter Sunday attack in April 2019, and the outbreak of the COVID-19 pandemic towards the year-end, caused sales volumes to slow down. However, service incomes grew by 8.09% to LKR 1,201.85 Million, from LKR 1,111.90 Million one year ago. The Solar PV System Installation operation has recorded 95.66% growth in current financial year to LKR 314.64 Million from LKR 160.81 Million achieved in last year.

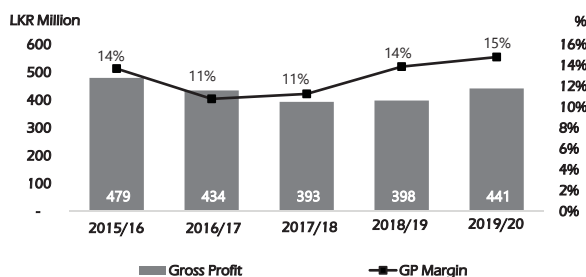


GROSS PROFIT

Rs. 441 Mn
Growth of 11.02 percent

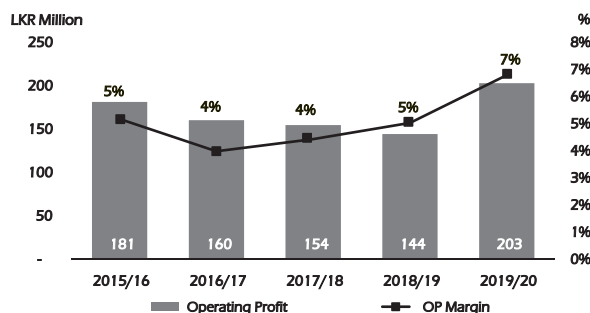
Gross Profit

The gross profit for the financial year 2019/2020 was LKR 441.35 Million compared to LKR 397.55 Million reported in the financial year 2018/2019. Despite the revenue growth being only marginal, the Company has been able to improve its gross profitability from 13.85% to 14.78%. This improvement is due to the continuous efforts towards improving operating efficiencies in the production and other value chain processes, and investments into vertical backward integration of the manufacturing of washing machine plastic components, and also our strong relationships with foreign and local suppliers in negotiating favourable terms for sourcing material and services.



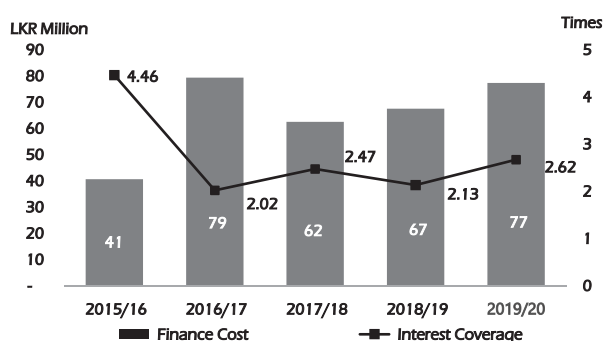
Operating Profits

The operating profits for the financial year 2019/2020 was LKR 202.54 Million compared to the LKR 144.02 Million in the financial year 2018/2019. This is a remarkable growth of 40.64% year-on-year. The operating margin has also improved to 6.78%, from 5.02%. A stable top line with better cost control strategies and a stable exchange rate, contributed towards this strong performance.



Finance Costs

The net finance cost has increased by LKR 9.81 Million in the financial year 2019/2020, from LKR 67.47 Million in the financial year 2018/2019. This increase was primarily driven by a notional interest charge of LKR 9.88 Million on leases, as required by the new leasing standard SLFRS 16. The short-term borrowing cost has reduced due to the decrease in market interest rates and low credit facility utilisation, while the term loan interest cost has increased due to investments made for the production facility improvements.



Taxation

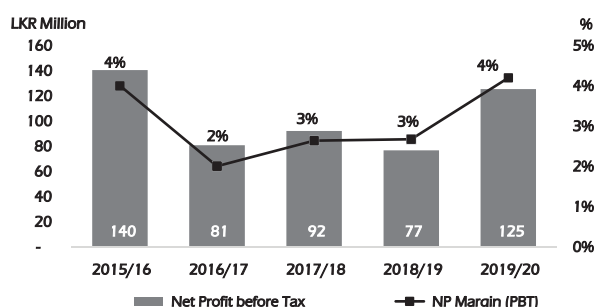
Income tax expense for the financial year 2019/2020 increased to LKR 40.09 Million, compared to LKR 23.22 Million in financial year 2018/2019 due to the increase in taxable income in the year under review. The deferred tax reversal for the financial year 2019/2020 amounted to LKR 1.40 Million. For further details on the Company's tax impact, please refer to Note 09 of the Financial Statements, on page 47.

PROFIT AFTER TAX

Rs. 87 Mn
Growth of 16.45 percent

Profitability

A 63.64% growth in pre-tax profit was recorded in the financial year 2019/2020 amounting to LKR 125.26 Million, compared to LKR 76.55 Million in the financial year 2018/2019. The net profit for the current year came to LKR 86.57 Million against LKR 74.34 Million in the financial year 2018/2019 resulting in a 16.45% increase year-on-year. The net profit margin also improved slightly during the year under review.



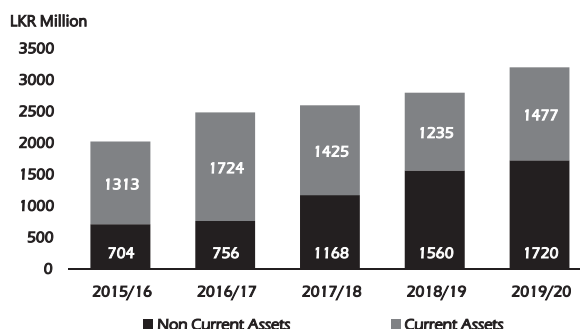
TOTAL ASSETS

Rs. 3,197 Mn
Growth of 14.39 percent

Total Assets

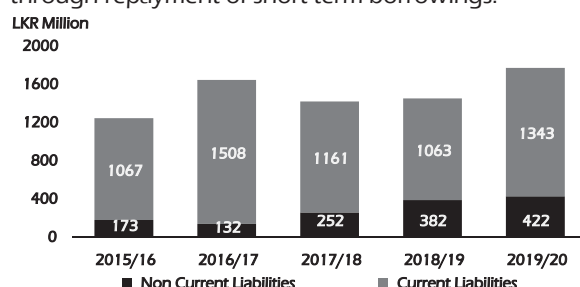
The Company's total assets increased by 14.39% to LKR 3,196.59 Million by the end of the financial year 2019/2020, compared to LKR 2,794.52 Million as at 31 March 2019. Total non-current assets increased by LKR 159.97 Million. Investments to enhance the production capabilities are included in property, plant and equipment (PPE) and the LKR 64.09 Million right-of-use asset, created as per the new leasing standard SLFRS 16. The fixed deposit investment has increased by LKR 59.49 Million.

Overall, the current asset position of the Company increased by LKR 242.09 Million. Out of which, inventories have increased by LKR 217.96 Million, due to raw materials imported targeting the April season not being utilised following the outbreak of COVID-19 and the island wide curfew. The slowdown in trade debtor collection due to curfew, resulted in increasing the trade and other receivables balance by LKR 74.66 Million as at the balance sheet date.



Total Liabilities

Company liabilities increased by 22.16% to LKR 1,765.11 Million as at 31 March 2020 from LKR 1,444.87 Million as at 31 March 2019. Non-current liabilities increased by LKR 39.52 Million, which is a 10.34% expansion from the last year end. Leasing facility obtained to set up an in-house roof top solar PV system and lease liability created as per the new leasing standard SLFRS 16, were the main contributing factors to this increase. Total current liabilities increased by LKR 280.72 Million as at 31 March 2020 from the last year end. This includes LKR 255.39 Million foreign supplier (DA Bills) payments for imports especially made during the last quarter targeting April season sales. Local and other creditor payments were delayed due to curfew restrictions. However, part of the increase was offset through repayment of short-term borrowings.

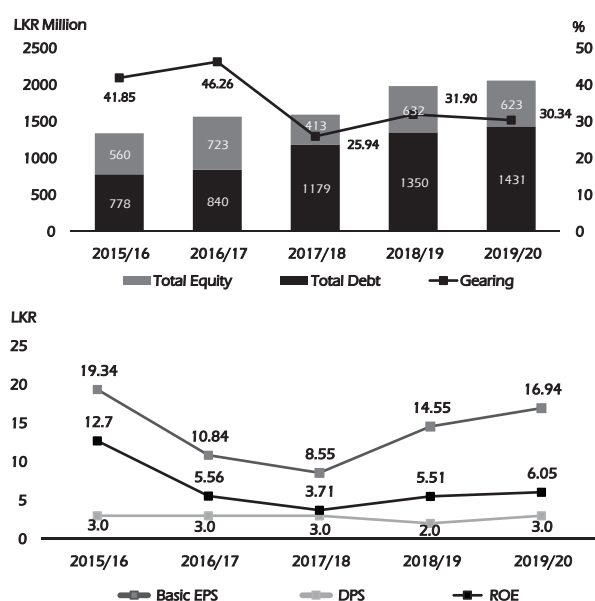


MARKET CAPITALIZATION

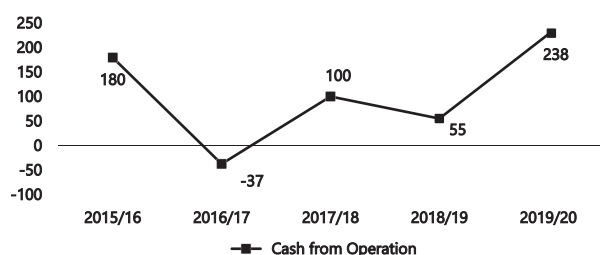
Rs. **308** Mn
Growth of 15.96 percent

Equity

Total shareholders' funds grew by LKR 81.82 Million by the end of year 2019/2020, to LKR 1,431.47 Million, from LKR 1,349.65 Million in the previous year, which is a 6.06% increase. The profits earned during the year contributed to this growth. During the year under review, LKR 2.1 Million capital reserve transferred to retained earnings.

**Cash Flow**

Cash generated from the Company's operations before working capital changes, stood at LKR 186.70 Million in the financial year 2019/2020, compared to LKR 101.30 Million in the previous year. Net cash generated from operating activities resulted in a significant improvement, primarily due to the increase in trade payables. Net cash used in investment activities amounted to LKR 127.67 Million during the year, as against LKR 273.42 Million in the previous year. This includes a total of LKR 110.44 Million invested in acquisition of property, plant and equipment, as well as investments in fixed deposits amounting to LKR 59.49 Million. Net cash used in financing activities stood at LKR 134.33 Million compared to LKR 195.77 Million obtained in the previous year.



GP Margin	NP Margin	ROCE	EPS
14.8%	2.9%	7.9%	16.9

Manufactured Capital

The principal business activities of the Company are manufacturing of washing machines, assembling a selected range of consumer durable products, installation and after sales services for a broad range of appliances and electronics, and installation of roof top solar PV systems. The manufactured capital of the Company comprises buildings, plant and machinery, tools and equipment, which are vital to carry out core activities and customer value creation. During the year under review, LKR 101.72 Million was invested in CAPEX, which includes an LKR 76.92 Million investment to expand existing production capabilities to enhance local value creation and cost efficiencies. In addition, LKR 47.79 Million was transferred from CWIP for the installation of an in-house roof top solar PV system and LKR 12.5 Million was invested in computer equipment.

Human Capital

While recognising human capital as a critical asset and integral part of business operations, Abans Electricals provide an equal opportunity to anyone who is willing to join the Company, and does not discriminate on gender, race or religion in attracting, promoting, or determining remuneration. The Company's Human Resource (HR) policies and procedures have been aligned with the HR policies and procedures of the Abans Group. Further, the Company ensures total compliance with all regulatory requirements and industry best practices. The Company offers competitive remuneration to attract and retain talented employees and also emphasises employee training and development, talent management and career development. The grievance handling mechanism of the Company includes an open door policy, direct access to the Head of HR and respective Divisional Heads and the Chief Executive Officer. The Health and Safety Policy of the Company adopts a proactive approach to the management of health and safety practices, while ensuring adherence to all relevant health and safety regulations. As at the financial year end, our workforce comprised 825 employees employed under contract, permanent and temporary positions. Approximately 97 of our employees are female.

Intellectual Capital

The Company recognises intellectual capital as one of the most important strategic assets of the organisation in the present competitive business environment. It enhances an organisation's ability to capitalise on its intellectual property, tacit knowledge, systems, processes and protocols. At Abans Electricals, the technical and process knowhow in relation to manufacturing and assembly, and customer service, and in depth knowledge of our product range, are recognised as vital components of our intellectual capital, which plays an important role in strengthening our financial capital to achieve truly sustainable earnings.

Natural Capital

As a Company with significant business interests in manufacturing and after sale services, we are mindful of the negative impacts our operations can have on the environment. As part of our daily business operations, we consume plastics, chemicals, rubber and steel and we also utilise natural resources, such as water and energy. Therefore, the Company has established policies and procedures on sustainable use of resources

and environmental impact management, to enable and encourage resource efficient business operations. A key aspect of our sustainable business model is our environmental accreditations. Environmental compliance certification is obtained on an annual basis, which enables the Company to identify and rectify any shortcomings, or deviations pertaining to environmental protection. Our business partners have also insisted on maintaining high standards in our manufacturing processes, to minimise negative environmental impacts. Periodic audits are conducted by concerned business partners, in order to verify our standard of compliance.

Social and Relationship Capital

Our social and relationship capital comprises all our stakeholders, including customers, suppliers and service providers, providers of financial capital, the government and regulatory bodies. Our success is dependent on the support extended by all our stakeholders. Hence, we are committed to strengthening our relationships and we endeavour to deliver sustainable value creation.

The manufacturing division of the Company does not directly engage with end consumers of its products, as distribution and marketing services are provided by Abans PLC. However, the Company provides after sales services for products it manufactures and for a wide range of other home appliances marketed by Abans PLC. We endeavour to provide speedy and efficient after sales services, to maintain a high level of customer satisfaction, thereby strengthening our social capital base.

Our suppliers are essential to ensure uninterrupted business operations and to maintain the high quality standard associated with Abans products. Abans Electricals engages with a range of local and foreign suppliers to procure raw materials and services. During the year under review, excellent relationships were maintained with suppliers, which made it possible to receive preferential treatment in price negotiations and revision of credit periods.

Abans Electricals also conducts many community engagement activities every year, to enhance brand image and support worthy causes. During the year, a number of public welfare activities were conducted, such as a blood donation campaign, a Poson dansala and other community-based donations that fostered better relationships among the communities we operate in.

We consider our employees a vital internal stakeholder of the Company. In order to strengthen relationships among staff members, during the current financial year, the Company organised a cricket tournament and annual get-together that provided opportunities to socialise, cooperate and have fun.

Board of Directors



Mrs. Aban Pestonjee
Chairperson

A resourceful and self-taught entrepreneur, Mrs. Aban Pestonjee exemplifies the Abans creed of “finding a need and fulfilling it.” Her passion, drive and courage, especially as a South Asian woman in a male dominated business world, have inspired successive generations of Sri Lankan business women. She has received local and international recognition for her achievements. These include the Award of Excellence for Women Achievers for Outstanding Achievements, presented by the SAARC Women’s Association, Sri Lanka Chapter and the bronze award, under the large business category at the Women Entrepreneur of the Year awards by the Women’s Chamber of Industry and Commerce, both in the year 2000. She was awarded the KOTRA Plaque of Appreciation in 2005 for forging strategic foreign economic ties between Korea and Sri Lanka. In 2006, Mrs. Pestonjee received international recognition as the Leading Woman Entrepreneur of the World award, presented by the Princess of Thailand.

Mrs. Pestonjee has been interviewed by The Harvard Business School on the subject of “Creating Emerging Markets”. The transcript of the interview is retained at the Harvard Business School’s Baker Library, among their historical collections, and is available to students for research and case studies.

Mrs. Pestonjee also holds directorships at Abans PLC, Abans Environmental Services (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, Abans Tours (Pvt) Ltd, Abans Tourist Hotel (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Add Outdoor (Pvt) Ltd, Abans Graphics (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Abans Consolidated (Pvt) Ltd, Abans Warehousing (Pvt) Ltd, Crown City Developers (Pvt) Ltd, AB Technologies (Pvt) Ltd, Abans Development (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd, Abans Engineering (Pvt) Ltd and Colombo City Centre Partners (Pvt) Ltd.



Mr. Behman Pestonjee
Managing Director

Qualified as a Marine Engineer, Class 1 (D.O.T. London), Mr Behman Pestonjee has been involved with Abans PLC since its inception and has been instrumental in building the business. His dynamic leadership of the operations division has been a key driver of success. He oversees most of the critical functions of the organisation including sourcing, marketing and sales and manages important business partnerships. Under his able supervision, the Abans retail network has expanded from a single store to over 400 stores. He is an inspiring leader with a unique management style based on pragmatism and execution.

Mr. Behman Pestonjee holds directorships at Abans PLC, Abans Environmental Services (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Add Outdoor (Pvt) Ltd, Abans Restaurant Systems (Pvt) Ltd, Absgro (Pvt) Ltd, Abans Graphics (Pvt) Ltd, Abans Marketing (Pvt) Ltd, AB Leisure (Pvt) Ltd, Abans Consolidated (Pvt) Ltd, Abans Retail (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Sirius Technologies (Pvt) Ltd, AB Suncity (Pvt) Ltd, Abans Development (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd and Abans Engineering (Pvt) Ltd.



Mr. Athula Siriwardane
Executive Director

Mr. Athula Siriwardane has been serving as a Director of Abans Electricals PLC since 28th September 2016.

He also serve as a Senior General Manager at Abans PLC and oversight logistics operations. He is an expert on import clearance procedures and, cost controls, and ensures timely delivery of final products. He also contributes to the Company as a strong leader and dedicated Board member. Apart from that, his long years of experience and good relationships with state institutions, such as the Ministry of Finance, the Ministry of Industries, the Customs and other relevant authorities, Mr. Siriwardane is the key Company liaison with such entities.

Board of Directors



Mrs. D. Priyanthi Pieris
Independent Non Executive Director

Mrs. Peiris was appointed to the Board in March 2009. She is an Attorney-at-Law of the Supreme Court of Sri Lanka and has over 39 years of experience in corporate and financial law. She is also a solicitor of England & Wales. She is currently engaged in private practice. She served on the boards of Forbes & Walker Ltd., Forbes Ceylon Ltd., Forbes Stock Brokers Ltd, Forbes Air Services Ltd. (general sales agent for Emirates), Vanik Corporate Services Ltd., Office Network (Pvt) Ltd., Capital Reach (Holdings) Ltd. and Associated Motorways Ltd. She currently serves on the boards of Associated Electrical Corporation Ltd, Asia Asset Finance PLC, Lanka Orix Finance PLC, PW Corporate Secretarial (Pvt) Ltd, and MTN Corporate Consultants (Pvt) Ltd. She served as a legal adviser to the Ministry of Finance from 2002 - 2004 and as a legal consultant to the Colombo Stock Exchange from 2004 - 2011. She was also a member of the committees set up by the SEC to recommend amendments to the Takeovers & Mergers Code 1995 (as amended) and was a member of the committee appointed to recommend amendments to the Rules for Corporate Governance.



Mr. Dinal Mario Rex Phillips
Independent Non Executive Director

Appointed to the Board in February 2018, Mr. Dinal Phillips Attorney-at-Law and Solicitor (England and Wales (1986), was appointed as President's Counsel in 2005. He obtained his Diploma in Intellectual Property from the University of London in the year 1989/90. A Founder Member of SAARC Law Sri Lanka Chapter, Mr. Phillips, PC is also a Member of the International Pacific Bar Association and the Bar Association of Sri Lanka.

Mr Phillips is a specialist in the field of intellectual property, commercial arbitration, company law litigation and sports law and is a regular practitioner in the Commercial High Court, which was established purely for commercial law disputes. In addition, he engages in injunctions, bank recovery issues, insurance claims, family and labour law matters. With over 37 years of experience in the field of Law, he is a board member of the National Development Bank PLC and Gestetner of Ceylon PLC and Vauxhall Beira Properties (Private) Limited. He was a member of the National Intellectual Property Advisory Commission for 12 years, and was elected Chairman twice.



Mr. Kumar De Silva
Independent Non-Executive Director

Appointed to the Board in February 2018, Mr De Silva has over 30 years of experience in the field of management. He is an associate member of the Chartered Institute of Marketing, UK, a member of the Sri Lanka Institute of Marketing and holds a Diploma in Marketing from the Chartered Institute of Marketing, UK. Further, Mr. De Silva is a fellow member of the Chartered Institute of Management Accountants, UK, the Institute of Global Chartered Management Accountants, UK and the Chartered Institute of Logistics and Transport, UK.

The Board and management of Abans Electricals PLC are fully cognisant of the Company's statutory and ethical responsibilities as a responsible corporate citizen, regarding the formulation and practice of good governance principles across its business activities. Effective governance of business activities and transactions is essential to mitigate systemic risks faced by the Company on an ongoing basis and to respond to emerging market risks and opportunities, with flexibility, while safeguarding the reputational integrity of the Company. Therefore, a strong corporate governance framework has been established to safeguard the interest of the shareholders and other stakeholder groups, based on regulatory guidelines and industry best practices. The corporate governance structure of the company has been built considering the core principles of accountability and transparency. It designed to provide strategic direction and ensure adequate controls to maintain efficiency and growth, while enhancing investor confidence. Further, the objective is to establish long term sustainable growth, while creating value for all stakeholders.

Compliance status

Abans Electricals PLC is pleased to state that it is fully compliant with all mandatory provisions of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange (CSE). The Company has also given due consideration to the Code of Best Practice on Corporate Governance, jointly advocated by the SEC and the Institute of Chartered Accountants of Sri Lanka (ICASL), wherever applicable.

Corporate Governance framework

The corporate governance framework of Abans Electricals PLC comprises of three key segments, Internal Governance Structure, External Governance Structure and Assurance.

Internal Governance Structure

The internal governance structure comprises the Board of Directors, Board and management committees, systems and processes, which create a good governance culture and ensures sustainability of the organisation.

The Board of Directors

The Board of Directors sets the strategic direction and objectives of the Company and reviews the detailed action plans formulated by the senior management team to achieve it. The Board ensure compliance with applicable rules, regulations and policies when conducting the business operations and take immediate actions to rectify any deviation. Quarterly board meetings and regular dialogue with key management personnel have set up to review the actual performance against set objectives to drive the company toward materializing the expectations of all the stakeholders.

Composition and Balance

The Board consists of six Directors, including three Independent Non - Executive Directors.

Brief profiles of the Board members are given in pages 10 and 11 of this Annual Report

Responsibilities and Duties

The members of the Board are collectively and individually responsible to comply with laws of the Democratic Socialist Republic of Sri Lanka and to implement business strategies, internal controls, risk management, corporate decisions, financial reporting and other imperative issues, as necessary.

Directors bring individual and collective judgments, and also obtain internal and external professional consultancy, for matters relating to corporate issues, strategies, performance, setting up standards and managing and safeguarding resources.

Chairperson and the Chief Executive Officer (CEO)

Leading the Board of Directors is the primary responsible of the Chairperson. In addition to that she is the ultimate contact point for the shareholders, particularly on matters in relation to corporate governance.

The Chief Executive Officer (CEO) reports to the Board of Directors and is responsible to execute strategies and policies of the Board. The CEO also guides and supervises the senior management to ensure that the operating model of the Company is aligned to achieve short term, medium term and long term objectives.

Appointments / Re-Election

The Board of the Company as a whole represents the Nomination Committee and decides on the selection criteria and appointments to the Board. The evaluation criteria are set based on the goals and objectives of the Company. Based on those criteria, suitable and capable persons are selected who can contribute to the Company. Procedures specified in the Articles of Association are mandatory for the retirement and re-election of Directors.

Meetings

During the financial year, there were four Board meetings. Attendance at the Board meetings held during the financial year 2019/2020 is given below.

	27/05/2019	06/09/2019	22/10/2019	24/01/2020	Total
Mrs. Aban Pestonjee	✓	✓	x	x	2/4
Mr. Behman Pestonjee	✓	✓	✓	✓	4/4
Mr. Athula Siriwardena	✓	x	x	✓	2/4
Mrs. Priyanthi Pieris	✓	✓	✓	✓	4/4
Mr. Kumar De Silva	✓	x	✓	✓	3/4
Mr. D M R Phillips	✓	✓	x	✓	3/4

Secretaries

Varners International (Private) Limited, have been appointed as the Company Secretaries, to ensure the adherence to rules and regulations and to administer Board proceedings minutes, agendas and papers required for Board meetings.

Directors' Remuneration

The Company has established a formal and transparent policy with the recommendations of the Remuneration Committee to determine remuneration packages for each Director to attract motivate and retain the best quality of leadership. The remuneration and other benefits of the Board of Directors are set out in Note No. 31 to the financial statements.

Appraisal of the Board

The Board itself, headed by the Chairperson, evaluates its performance, giving due regard to the external and internal environment to measure the degree of success, or the failure, in achieving goals and objectives assigned to Board members individually and collectively.

Financial Acumen

A member representing a recognised professional accounting body served on the Board as an Independent Non-Executive Director and was involved in matters relating to finance. External consultants were retained whenever necessary.

Relation with Shareholders / Investors

The Directors are fully cognizant of the importance of shareholders in the context of good corporate governance, transparency and accountability. Therefore, the Board of Directors have ensured that shareholders have equal access to information and have ensured adequate and timely disclosure of all material information pertaining to the Company.

Board Sub Committees

The Board has delegated certain functions to Board Sub-Committees. Members of these Sub-Committees are primarily Independent Non-Executive Directors. The three Board Sub-Committees namely; the Audit Committee, Remuneration Committee and Related Party Transactions Review Committee. A brief description about these committees are set out in page no. 18 to 20.

Composition of Board Sub Committees

	Audit Committee	Remuneration Committee	Related Party Transactions Review Committee
Executive Directors			
Mrs. Aban Pestonjee			
Mr. Behman Pestonjee			M
Mr. Athula Siriwardena			
Independent Non-Executive Directors			
Mrs. Priyanthi Pieris	M		C/M
Mr. Kamar De Silva	C/M	C/M	M
Mr. D. M. R. Phillips	M	M	

C – Chairman

M – Member

External Governance Structure

The external governance structure of the Company comprises the laws, regulations and best practices that enable the Company to operate within a sound corporate governance framework. During the financial year under review, the Company has fully complied with all mandatory rules and regulations applicable to the Company as stipulated by the Companies Act No. 07 of 2007 and the Listing Rules published by the Colombo Stock Exchange. A detailed compliance report is set out below.

Statement of Compliance under Section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosures

Rule	Governance Requirement	Compliance Status	Reference/ Comment
i	Names of persons who were Directors of the Entity	Yes	Refer page no. 10-11
ii	Principal activities of the entity and its subsidiaries during the year, and any changes therein	Yes	Refer page no. 25
iii	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	Yes	Refer page no. 66
iv	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Yes	Refer page no. 65
v	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year	Yes	Refer page no. 26
vi	Information pertaining to material foreseeable risk factors of the Entity	Yes	Refer page no. 21-23
vii	Details of material issues pertaining to employees and industrial relations of the Entity	Yes	There are no material issues pertaining to employees and industrial relations
viii	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	Yes	Refer page no. 25
ix	Number of shares representing the Entity's stated capital	Yes	Refer page no. 65
x	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	Yes	Refer page no. 65
xi	Financial ratios and market price information	Yes	Refer page no. 3 & 65
xii	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	Yes	Refer note 12 on page no. 48-51
xiii	Details of funds raised through a public issue, rights issue and a private placement during the year	Yes	There were no fund raising activities carried out to increase the stated capital
xiv	Information in respect of Employee Share Ownership or Stock Option Schemes	Yes	There is no Employee Share Option Scheme, or Purchase Scheme
xv	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules	Yes	Refer page no. 15
xvi	Related Party transactions exceeding 10 per cent of the equity or 5 per cent of the total assets of the Entity as per audited financial statements, whichever is lower	Yes	Refer page no. 59

Statement of Compliance under Section 7.10 of the Listing Rules of the CSE on Corporate Governance

Rule	Governance Requirement	Compliance Status	Reference/ Comment
7.10.1 Non-Executive Directors (NED)			
a/b/c	At least 2 members or 1/3 of the Board, whichever is higher should be NEDs	Yes	Three out of six Board members are NEDs
7.10.2 Independent Directors			
a	2 or 1/3 of NEDs, whichever is higher shall be "independent"	Yes	All NEDs are independent
b	Each NED to submit a signed and dated declaration of his/her independence or non-independence	Yes	NEDs have submitted signed confirmation of their independence.
7.10.3 Disclosures Relating to Directors			
a/b	Board shall annually determine the independence or otherwise of NEDs	Yes	The Board has determined that criteria for independence is met for NEDs
c	A brief resume of each Director should be included in the annual report including the Directors' experience	Yes	Refer pages no. 10 - 11
d	Provide a resume of new Directors appointed to the Board along with details	Yes	There was no appointments to the Board, during the year under review.
7.10.4 Criteria for Defining Independence			
a to h	Requirements for meeting the criteria to be an Independent Director	Yes	The Board as a whole decides on selection criteria.
7.10.5 Remuneration Committee (RC)			
a.1	Remuneration Committee shall comprise of NEDs, a majority of whom will be independent	Yes	Refer page no. 19
a.2	One NED shall be appointed as Chairman of the Committee by the Board of Directors	Yes	Refer page no. 19
b	Remuneration Committee shall recommend the remuneration of the CEO and the Executive Directors	Yes	Refer page no. 19
c.1	Names of Remuneration Committee members	Yes	Refer page no. 19
c.2	Statement of Remuneration policy	Yes	Refer page no. 19
c.3	Aggregate remuneration paid to EDs and NEDs	Yes	Refer Note 08 on page no. 46
7.10.6 Audit Committee (AC)			
a.1	Audit Committee (AC) shall comprise of NEDs, a majority of whom should be independent	Yes	Refer page no. 18

a.2	A NED shall be the Chairman of the committee	Yes	Refer page no. 18
a.3	CEO and CFO should attend AC meetings	Yes	Refer page no. 18
a.4	The Chairman of the AC or one member should be a member of a recognized professional accounting body	Yes	Refer page no. 18
b	Functions of the AC	Yes	Refer page no. 18
b.1	Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements in accordance with SLFRS/LKAS	Yes	Refer page no. 18
b.2	Overseeing the compliance with financial reporting requirements, information requirements as per laws and regulations	Yes	Refer page no. 18
b.3	Overseeing the process to ensure the internal and risk management controls, are adequate, to meet the requirements of the SLFRS/LKAS	Yes	Refer page no. 18
b.4	Assessment of the independence and performance of the Entity's External Auditors	Yes	Refer page no. 18
b.5	Make recommendations to the Board pertaining to External Auditors	Yes	Refer page no. 18
c.1	Names of the Audit Committee members shall be disclosed	Yes	Refer page no. 18
c.2	Audit Committee shall make a determination of the independence of the External Auditors	Yes	Refer page no. 18
c.3	Report on the manner in which Audit Committee carried out its functions.	Yes	Refer page no. 18

Statement of Compliance under Section 9.3.2 of the Listing Rules of the CSE on Corporate Governance

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
a	Details pertaining to Non-Recurrent Related Party Transactions	Yes	Refer page no. 59
b	Details pertaining to Recurrent Related Party Transactions	Yes	Refer page no. 59
c	Report of the Related Party Transactions Review Committee	Yes	Refer page no. 20
d	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to RPT, or a negative statement otherwise	Yes	Refer page no. 26

Statement of Compliance pertaining to Companies Act No. 7 of 2007

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
168 (1) (a)	The nature of the business together with any change thereof	Yes	Refer item 1.2 on page no. 36
168 (1) (b)	Signed financial statements of the Group and the Company	Yes	Refer pages no. 32-64
168 (1) (c)	Auditors' Report on financial statements	Yes	Refer pages no. 29-31
168 (1) (d)	Accounting policies and any changes therein	Yes	Refer pages no. 36-45
168 (1) (e)	Particulars of the entries made in the Interests Register	Yes	Refer page no. 27
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company	Yes	Refer Note 08 on page no. 46
168 (1) (g)	Corporate donations made by the Company	Yes	Refer Note 08 on page no. 46
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during and at the end of the accounting period	Yes	Refer page no. 26
168 (1) (ii)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	Yes	Refer Note 08 on page no. 46
168 (1) (j)	Auditors' relationship or any interest with the Company audits Subsidiaries	Yes	Refer page no. 18
168 (1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	Yes	Refer page no. 33

Assurance

Corporate Governance assurance at Abans Electricals PLC is upheld by the Group Internal Audit Division and the External Auditors of the Company.

Internal Audit

The Group Internal Audit Division focuses on providing independent supervision to the Audit Committee on the processes and controls within the Company and the level of compliance with laws and regulations. Internal Audit also carried out a comprehensive annual audit plan to cover both operational and financial aspects of the Company. The audit highlighted any deviations from the existing system and propose and required corrective actions, whenever necessary.

External Audit

The External Audit Report enables the Board to determine the adequacy and effectiveness of the Company's internal controls, which is an essential component of the sound Corporate Governance mechanism. Messrs SJMS Associates Chartered Accountants, were the external auditors of Abans Electricals PLC and were responsible for auditing the financial statements the Company.

Role of the Committee

The Board of Directors has approved and adopted the audit committee charter, which sets out the powers and responsibilities of the Audit Committee. The Audit Committee has written terms of reference, which are established for the purpose of assisting the Board of Directors in fulfilling its responsibilities in relation to the integrity of the financial statements, risk management, internal controls, compliance with legal and regulatory requirements, reviewing the performance and independence of internal audit function and external auditors.

The Audit Committee is empowered to examine any matters relating to the financial affairs of the Company and to review the accuracy, quality, transparency and integrity of quarterly and annual financial statements, review the adequacy of the Company's internal controls framework and effectiveness of established internal control procedures and the annual audit engagements. The Committee reviews the Company's risk management mechanism and adequacy of steps taken to monitor, control and mitigate possible risks. Another duty of the Committee is, to ensure compliance with accounting standards, accounting policies, statutory laws and regulations and make recommendations on the appointment, re-appointment and removal of the external auditors.

The Audit Committee is empowered to review and monitor the financial reporting process and provide added reliability and assurance on the financial statements through an independent and objective assessment. The Audit Committee assists the Board of Directors to discharge its responsibilities on ensuring the quality of financial reporting and information disclosed to shareholders and the public.

Composition of the Committee and Meetings

The Audit Committee consists of three Independent Non-Executive Directors, Mr. Kumar De Silva, Chairman, Mrs. Priyanthi D Peiris and Mr. D. M. R. Phillips. M/S Varners International (Pvt) Ltd served as the Secretary to the Audit Committee. The Audit Committee held four meetings during the financial year under review. The other Directors, Group CFO, CEO and Finance Heads of two divisions (Manufacturing and Service) and the internal auditors, attended these meetings. The external auditors attended these meeting by invitation.

The activities and views of the Committee have been communicated to the Board of Directors quarterly, through verbal briefings, and by tabling the minutes of the Audit Committee meetings.

The attendance at the Audit Committee meetings held during the financial year 2019/2020 is given below.

	27/05/2019	06/09/2019	22/10/2019	24/01/2020	Total
Mr. Kumar De Silva	✓	x	✓	✓	3/4
Mrs. Priyanthi Pieris	✓	✓	✓	✓	4/4
Mr. D M R Phillips	✓	✓	x	✓	3/4

Financial Reporting

The Audit Committee reviewed and discussed the Company's quarterly and annual financial statements for the year ended 31st March 2020 prior to their publication with the other Directors, management and internal auditors, with regards to their compliance with

the Sri Lanka Accounting Standards, Companies Act no 7 of 2007, and regulatory and other statutory requirements of the Securities Exchange Commission. The financial statements have been presented in compliance with the new Sri Lanka Accounting Standards (SLFRS/LKAS) for the financial period, including the comparative financial statements. The Audit Committee has worked objectively to safeguard the best interests of the stakeholders.

Internal Audit, Risk Management and Internal Controls

The Audit Committee monitors the effectiveness of the internal audit function and ensure the adequate access to the information required to conduct the audits. The committee reviewed the internal audit reports presented by the internal auditors, which covers each business unit of the Company. The summary audit reports were presented, along with internal audit investigations and findings made by the department, for the period under review. The frequency of internal audit assignments depends on the risk profile of the respective area and such approach was adopted to optimise the balance between risk mitigation and associate cost thereof.

The Committee reviewed the effectiveness and adequacy of internal control systems and the Company's outlook, against the business exposure and financial risks. In the preparation and presentation of financial statements the Committee ensured that the financial reporting system can be depended on, under the existing processes, to safeguard the assets of the Company.

The Committee provided advice and guidance to the Board to mitigate risks associated with new Free Trade Agreements and consequent tariff changes, shift in market share with new entrants and the need for product diversification along with exposure to exchange and interest rate fluctuations and the associated business risks to the Company. The debtor and creditor policies, cash and working capital adequacy were reviewed as an integral part of the financial risk.

External Auditors

The letter of engagement issued by the external auditor was reviewed and discussed by the Audit Committee with the external auditors and the management, prior to commencing the audit. This covers the scope of the audit, audit plan, time line and any special area to be emphasised during the audit. Prior to issuing the final audit opinion and the report, external auditors met the Audit Committee and highlighted key audit areas and obtained their feedback.

The Audit Report and the Management Letter issued by the External Auditors were reviewed and assessed as to material impacts, so as to represent a true and fair view of the financial statements. The Committee is satisfied that the independence of the external auditors has not been impaired by any event or service that gives rise to a conflict of interest. The Audit Committee recommends to the Board of Directors that Messrs SJMS Associates be reappointed as auditors for the financial year ending 31st March 2021, subject to shareholder approval at the Annual General Meeting.

Conclusion

The evaluation of reports is based on independent judgement and the Committee is satisfied about the operation of business activities, actions in place, control procedures, reporting requirements and safeguards afforded to Company assets and financial reporting of the Company.

Kumar De Silva
Chairman-Audit Committee

The Remuneration Committee evaluates and determines the appropriate remuneration of the Executive Directors and Key Management Personnel as per the guidelines set out by the Board of Directors, as well as their performance, market comparators for similar positions and Group compensation and benefits policy. The prime objective is to attract, retain and motivate suitably qualified Executive Directors and Key Management Personnel to execute Company strategies.

Composition

The Remuneration Committee is appointed by the Board of Directors and comprises two Independent Non-Executive Directors. The Committee is headed by the Committee Chairman, Mr. Kumar De Silva, and Mr. D. M. R. Phillips served as a Committee member.

Policy

The remuneration policy of Abans Electricals PLC is designed to attract, motivate and retain staff with appropriate professional, managerial and operational expertise, to achieve the goals and objectives of the Company.

Scope

The principal responsibility of the Remuneration Committee is to recommend to the Board a competitive remuneration and reward structure for the organisation, which includes performance based incentives. The Committee will specifically focus on remuneration packages for executive staff and senior management. Such a system is based upon every member of the staff being informed regarding the key result areas on which he/she will be judged, together with an objective performance evaluation system.

Meetings

During the financial year under review, the Committee held two meetings. At these meetings, the staff performance appraisal system and its procedures, the performance bonus and its quantum, remuneration and other benefits of executive and senior management, were discussed and their recommendations were submitted to the Board.

The attendance at the Remuneration Committee meetings held during the financial year 2019/2020 is given below.

	27/05/2019	24/01/2020	Total
Mr. Kumar De Silva	✓	✓	2/2
Mr. D M R Phillips	✓	✓	2/2

Conclusion

The Committee assessment is that the present remuneration for Directors is fair and reasonable.

Kumar De Silva

Chairman - Remuneration Committee

The objective of the Committee is to assist the Board of Directors in reviewing all related party transactions by adopting relevant policies and procedures to ensure such transactions are in compliance with required rules and regulations.

Policies and Procedures

The Company has in place a Related Party Transactions Policy, whereby the categories of persons/entities who shall be considered as "Related Parties" have been identified.

Purpose of the Committee

The purpose of the Committee is to conduct an independent review, provide approval and oversight for all related party transactions of Abans Electricals PLC, and ensure that the Company complies with the Code on Related Party Transactions issued by Securities and Exchange Commission of Sri Lanka (SEC) and the Listing Rules of the Colombo Stock Exchange (CSE), pertaining to related party transactions. Its primary objectives are to ensure that the interest of the shareholders as a whole, are taken in to account when entering in to related party transactions, and to prevent Directors, Key Management Personnel, or substantial shareholders, from taking advantage of their positions.

Composition of the Committee

During the year under review, the Related Party Transactions Review Committee consisted of two Independent Non-Executive Directors and one Executive Director; the Committee Chairman, Mrs. Priyanthi Peiris, Mr. Kumar De Silva, and Mr. Behman Pestonjee. Varners International (Private) Limited, the Company Secretaries, functioned as the Secretaries to the Committee.

Meetings

The Related Party Transactions Review Committee met four (04) times during the year under review. Attendance by Committee members were as follows;

	27/05/2019	06/09/2019	22/10/2019	24/01/2020	Total
Mrs. Priyanthi Pieris	✓	✓	✓	✓	4/4
Mr. Kumar De Silva	✓	x	✓	✓	3/4
Mr. Behman Pestonjee	✓	✓	✓	✓	4/4

Review of Related Party Transactions

The Committee at their meetings, reviewed possible related party transactions for the year 2019/2020.

It was observed that related party transactions conducted during the year were recurrent in nature and necessary for the day-to-day operations of the Company. According to the opinion of the Committee, these transactions were not on terms more favourable to the related party, than those generally available to the public.

With respect to sales, majority of the items manufactured and assembled by the Company were sold to Abans PLC and this transaction was recurrent in nature and necessary for the day-to-day operations of

the Company. It was noted that the total sale price offered was adjusted based on negotiations between the two parties, and also took in to account the arrangement between the parties, whereby Abans PLC has purchased majority of the products manufactured and assembled by the Company.

The minutes of the Committee meetings were documented and tabled at Board meetings, for review.

Scope of the Committee:

- To manage relationships with related parties to uphold good governance and the best interests of the Company
- To provide an independent review, approval and oversight of related party transactions (except those expressly exempted by the Rules)
- To determine whether related party transactions that are to be entered in to by the Company require Board approval, or approval from shareholders of the Company.
- To establish guidelines in respect of recurrent Related Party Transactions, for senior management to follow in its ongoing dealings with the relevant related party.
- To ensure that no Director of the Company shall participate in any discussion of a proposed related party transaction for which he or she is a related party, unless such a Director is requested to do so by the Committee, for the express purpose of providing information concerning the related party transaction to the Committee.
- To ensure that immediate market disclosure and disclosure in the annual report as required by the Rules, are made in a timely and detailed manner.

Declaration

A declaration by the Board of Directors on compliance with the Rules pertaining to related party transactions is included in the Report of the Board of Directors on page 26 of this annual report.

Mrs. Priyanthi Pieris

Chairperson - Related Party Transactions Review Committee

A sound Enterprise Risk Management (ERM) system is essential for an entity to understand and manage risks in its strategic decision making process. It is vital to detect all potential risks at their initial stages to identify the impact, probability and velocity of those risks and to execute preventive, detective and corrective mitigation plans to ease the impact of those identified risks. Risk management is an integral component of the overall corporate governance framework and is a continuously evolving and developing process. A sound risk management mechanism helps the Company maintain sustainable growth and enhance value creation for all its stakeholders.

It is inevitable that business entities have to operate in a changing environment. However, the most important fact is that the Company should have a formal process and allocated resources to identify, assess, monitor and manage risks that may impact the performance of the Company. The Board of Directors holds the ultimate responsibility for ensuring that risks are identified and managed appropriately, whilst complying with regulatory requirements. The Board is supported by the Audit Committee in this regard. Apart from that, adequate internal controls are established to ensure that the Company policies are observed when implementing risk management processes.

The Board of Directors has approved the risk management policy which is updated and reviewed regularly. It details the processes, procedures and guidelines in place to identify, monitor and mitigate the Company's risk exposure. Regular training and awareness programmes are conducted to instil a risk ownership culture within the organisation by facilitating a clear understanding among employees of their individual roles and responsibilities in relation to risk management. This varies from understanding of complex strategic risks at senior management level, to an understanding of health and safety aspects at factory level.

The risks that the Company is exposed to, and the risk mitigation actions that are in place, are detailed below.

Macro-Economic and Political Environment

Frequent changes in national policies and the instability in the economic environment have affected the Company performance during the year. Further, political tensions prior to concluding the presidential election, civil unrest, the Easter Sunday terrorist attack and the island wide curfew imposed due to the outbreak of the Covid-19 pandemic have aggravated the depressed business environment. The Company closely monitors such developments and adapts business strategies in line with external developments. Continuous dialogue is maintained between the Board of Directors and senior management team to identify potential risks and actions to address such risks, to mitigate negative impacts on the Company.

	FY 2018/2019	FY 2019/2020
Risk Rating	Moderate	Moderate

Regulatory Environment

Unfavourable government policies and regulations had constrained potential revenues to the Company. Further, strict measures taken by the government during the outbreak of the Covid-19 pandemic in relation to the importation of non-essential goods and exchange control restrictions have negatively affected the Company's performance. However, the Board of Directors and senior management team maintained continuous dialogue with key government institutions, various industry associations and industry chambers, to bring clarity and consistency to Government policies and regulations.

	FY 2018/2019	FY 2019/2020
Risk Rating	High	High

Financial Risk

Financial risk management is a key element of overall risk management process. The Finance Division, together with the Group Treasury and the Group Chief Financial Officer, is responsible to manage this risk effectively and efficiently. Primarily interest rate risk, currency risk, credit risk and liquidity risk were categorized under this. During the year under review, the management was able to mitigate financial risks by closely monitoring the liquidity position and by making assessments of future cash requirements. The Company maintained strong working relationships with correspondent banks and also utilised diversified funding systems to manage the range of financial risks which helped the Company to manage its liquidity position up to a satisfactory level during the Covid-19 pandemic period as well.

Exchange Rate Risk

A market-based exchange rate policy adopted by the Central Bank of Sri Lanka (CBSL) resulted in greater flexibility in determining exchange rates of the country. However, increased foreign debt repayments, large foreign investment outflows from capital markets, increased demand for imported goods, supply constraints, Easter Sunday attack impact on tourism sector, unfavourable political developments and impact on export market, foreign worker remittance and tourist industry due to the on-going Covid-19 global pandemic exerted pressure on the currency. The Company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposure is managed through appropriate financial risk management techniques, such as forward exchange contracts and conversion of foreign supplier credit into credit facilities arranged through local banks. However actions taken by the Exchange Controller during the pandemic period to ease the pressure on the exchange rate had restricted the Company in executing certain preventive strategies in order to mitigate the exchange rate risk exposure of the Company.

	FY 2018/2019	FY 2019/2020
Risk Rating	High	High

Interest Rate Risk

Interest rates registered a downward trend during the year, due to CBSL adopting an accommodative monetary policy to support the revival of economic activities. The decrease in interest rates positively impacted to reduce the cost of borrowing and boost the profitability. Exposure to interest rate risk is predominantly in working capital financing through bank borrowings. However, stronger business relationships with lenders and the strength of the Abans Group, made it possible to negotiate better terms of credit. Another risk management strategy was to borrow from fixed interest rate funding sources, which made it possible to minimise impacts of interest rate fluctuations.

	FY 2018/2019	FY 2019/2020
Risk Rating	High	Moderate

Liquidity Risk

Liquidity risk is the risk that the Company will be unable to meet its liabilities when they fall due. The Company addresses this risk by maintaining sufficient cash and cash equivalent sources and undrawn committed credit facilities, to meet the short, medium and long-term funding requirements and any unforeseen commitments. Further, the liquidity position is monitored on a regular basis. The company anticipates short term liquidity constraints during the first half of the next financial year due to loss in operation due to the outbreak of the Covid-19 pandemic. However the management has already taken necessary steps to improve the liquidity position of the Company with negotiations carried out with financial institutions and suppliers.

	FY 2018/2019	FY 2019/2020
Risk Rating	Moderate	Moderate

Credit Risk

Credit risk is the potential losses arising due to customer bankruptcy. The main client of Abans Electricals PLC is Abans PLC. The rest of the client portfolio consists of corporate clients, government and individual customers. In the case of individual customers, most transactions are cash transactions and when credit transactions are conducted with individual customers and corporate clients, credit worthiness is reviewed prior to agreeing to credit terms and in certain instances the Company obtains a bank guarantee or letter of credit. In addition, debt follow up and collection status is monitored regularly and action is taken in the case of long outstanding debtors, if any.

	FY 2018/2019	FY 2019/2020
Risk Rating	Moderate	Moderate

Information Technology Risks

The Company relies on IT systems to coordinate the entire inventory management process, finance and payroll functions. The key information technology related risks faced by the Company are; the possibility of system failures, inaccuracy or delays in decision making due to inaccurate or non-availability of timely

Enterprise Risk Management Contd.,

information and data losses due to cyberattacks or disasters. The Group IT Division has established adequate IT related policies and procedures to mitigate these risks.

	FY 2018/2019	FY 2019/2020
Risk Rating	Moderate	Moderate

Human Resource and Talent Management

It is vital to ensure the availability of a skilled workforce, to meet the strategic as well as operational goals of the Company. Attracting the right people with the right skills, at the right time for the position and developing and retaining such a workforce, is a challenging task. In order to manage this risk, the Company has implemented a performance base reward system, succession planning and career development programmes. These mechanisms help to identify and retain key talent within the Company. Further, periodic market surveys are carried out to ensure that remuneration is in line with industry pay rates. The Company has increased spending on employee social events and welfare activities to create a better work environment and to increase employee engagement in decision making processes.

	FY 2018/2019	FY 2019/2020
Risk Rating	Moderate	Moderate

Environmental, Health and Safety

Environmental risk arises due to negative environment impacts from business activities and/or non-compliance with environmental regulations. The Company has adopted best practices and ISO standards on manufacturing processes, to mitigate this risk. Further, the Company stringently adheres to all environmental laws and regulations in the country.

Health and safety risk is the possibility that an employee may be hurt, or may suffer adverse health outcomes, if exposed to a hazardous work conditions. The Company makes every effort to create a safe work environment within the premises. Therefore, adequate preliminary level medical facilities have been provided within the premises and insurance coverage has been obtained for all employees, to mitigate this risk. In addition to that during the curfew period as well as post curfew period, the Company provided required sanitation and personal protective equipment (PPE) and implemented sanitising and other safety measures at all operating locations.

	FY 2018/2019	FY 2019/2020
Risk Rating	Moderate	High

Reputation and Brand Image

The Company may occur losses due to impairment of corporate credibility. Being an electrical and electronic home appliance manufacturer and after sales service provider, the long term vision of the organisation is to ensure value addition for target markets and always serving customers at their door step, to attract and retain customers for life. The Company obtains regular customer satisfaction feedback to monitor customer satisfaction levels and takes prompt action on complaints and suggestions. Proper adherence to

statutory and environmental regulations and maintaining strict quality control measures by obtaining quality certification (ISO 9001 : 2008), are also strategies adopted in mitigating this risk.

	FY 2018/2019	FY 2019/2020
Risk Rating	High	High

Supply Chain Risk

Supply chain risks are potential losses from procurement related issues, including supply disruptions and supply of inferior quality raw material. The Company has developed good relationships with a large pool of international and local suppliers to mitigate concentration risk and to minimise potential losses from procurement related issues, including supply disruptions and inferior quality raw material. During the early stage of the Covid-19 global pandemic, the Company had already placed its raw material and spare part orders from foreign suppliers. Therefore, the Company could secure adequate stocks prior to the disruption of global production. However slight delays were experienced in shipping due to limited port operations and global transport availability.

	FY 2018/2019	FY 2019/2020
Risk Rating	Moderate	Moderate

Understanding the needs of our stakeholders is vital in the process of setting up the Company's strategic direction and to add value to stakeholders. Hence continuous and productive stakeholder engagements have always been a priority for the Company. The Company maintains contact with all stakeholders through formal and informal mechanisms. In addition, the Company applies a precautionary principle when determining the balance between operational expansion and social and environmental sustainability.

Enhancing Our Customer Care

We have started new Service Centres Island wide to provide breakdown support and enhance services to our customer whilst building better relationships. Comprehensive tests are conducted on all products during manufacturing and post production, prior to putting our products into the market to ensure quality standards and safety of products. Further, user manuals are provided with all products to inform customers about product properties and their conditions of use. In addition, usage instructions are communicated by sales representatives in the retail channels. We ensure that warning and safety labels are displayed wherever applicable.

Employee Welfare

We are focusing on engaging our employees and creating a dynamic, team oriented workforce. Our human resource management policies cover the areas of recruitment, succession planning, performance appraisal, training and development, compensation and benefits and labour relations and grievance handling. Relevant training and awareness programmes are also regularly carried out for employees, to ensure that all safety measures are understood and safety equipment are used to minimise accidents. The Company also uses safe machines in the manufacturing processes and if required and where possible, machines are modified to improve safety standards for employees.

Supplier Engagements

Abans Electricals has a policy in place to assess, grade and monitor the performance of suppliers. We also conduct annual audits of supplier products and implement a quality approval process prior to utilising raw materials and spare parts for manufacturing and services.

Our objective is to improve value creation for our suppliers by supporting their social and environmental sustainability. Our suppliers play a critical role in our sustainability and value creation process. Our operating activities require a wide range of input material, where quality and timely supply is crucial to ensure smooth operations in a highly competitive market. Therefore, we constantly engage with our foreign and local suppliers to clearly communicate our requirements and quality standards for input material. The success of our supplier engagement efforts is evident in the number and diversity of suppliers that we trade with, and the endurance of these long standing relationships.

Engaging with our Funding Partners

We have built long standing relationships with financial institutions through years of integrity and trust in all financial transactions. This has positioned us as a high value customer of financial institutions making it possible to access financial support at advantageous rates. The Company's financial statements demonstrate the strength of our assets and the financial stability of the Company. Our strategic supplier management policies meanwhile, have ensured a diverse supplier base with advantageous credit terms that contributes towards the financial stability of the Company.

Environmental Responsibility

As a responsible and environmentally conscious manufacturer and service provider, it is our duty to reduce the energy consumption in our operation and to also introduce more energy efficient products, to benefit consumers and the country as a whole. Towards this aim, we introduced the R600, a hydrocarbon based refrigerant gas in our products, which facilitated an approximately 40% reduction in energy consumption. During the current financial year we continued to focus on improving our environmental performance, making substantial gains in energy efficiency, waste reduction, waste management and emission control.

Our long term vision, supported by a prudent and vertically integrated strategic growth plan, will continue to enhance the competitiveness of the Company to overcome external threats. Therefore, our stakeholders can be assured of sustained gains and value additions in the years to come.

The Directors of Abans Electricals PLC have pleasure in presenting the Annual Report of Abans Electricals PLC, which includes the audited financial statements and all other relevant information for the year ended 31st March 2020, at the 38th Annual General Meeting.

This report was approved by the Board of Directors on 19/08/2020.

Principal Activities

Manufacturing, assembling and installation of selected consumer durable products, and the provision of repair and aftersale services for a wider range of household electric and electronic appliances, under two divisions are the principal activities of the Company. Apart from those, the Company is in to installation of roof top Solar PV Systems as well.

(a) Manufacturing Department

The division predominantly engages in manufacturing, assembling and installation of selected consumer durable products such as washing machines, refrigerators, air conditioners, cookers in collaboration with internationally recognised brand names. It also engages in installation of roof top Solar PV Systems.

(b) Service Department

The division undertakes the installation, repair, maintenance and after sales services of electrical and household appliances sold by the Abans Group.

Review of Business Operations

A review of the financial and operational performance of the Company is available in the Management Discussion and Analysis section of the annual report, which forms an integral part of the Directors' Report.

Future Outlook

The future outlook of the Company is described in the Chairperson's Statement of this annual report.

Financial Statements

The financial statements of the Company for the year ended 31st March 2020, have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and form an integral part of this annual report. The financial statements of the Company, duly certified by the two divisional Heads of Finance and approved by two Directors in compliance with Sections 152, 153 and 168 of the Companies Act, are given from pages 32 to 64 of this annual report.

		2019/2020	2018/2019
Revenue	LKR '000	2,986,136	2,870,558
Profit/(Loss) before Tax	LKR '000	125,261	76,546
Tax Saving/(Expense)	LKR '000	(38,688)	(2,202)
Profit/(Loss) after Tax	LKR '000	86,573	74,344
Total Comprehensive Income Net of Tax	LKR '000	97,155	180,608
Profit Available for Appropriation	LKR '000	831,994	748,070
Ordinary Dividend per Share (Paid)	LKR	3.00	2.00

Accounting Policies

All significant accounting policies adopted by the Company are mentioned in the Notes to the financial statements. The Company prepared its financial statements in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS).

Capital Expenditure

During the year Company has spent LKR 110,439,634 /- (2018/2019 - LKR 234,106,511/-) on property, plant and equipment, including capital work in progress and intangible assets. All the related information and movements have been disclosed in Note 12 to the financial statements.

A computer software amounting to LKR 5,000,000/- added to intangible assets during the financial year and there was no addition in 2018/2019. All the related information and movements in this regard have been disclosed in Note 14 to the financial statements.

Valuation on Land, Buildings and Investment Properties

The carrying value of land and buildings as at balance sheet date of the financial year 2019/2020 was LKR 917.3 Million (As at 31 March 2019 - LKR 924.6 Million). These lands and buildings owned by the Company were revalued on 31 March 2018, except the land located in Colombo 06, which was revalued on 31 March 2019. Details of Company land, building and other properties stated at valuation, are given below.

Land Location	No. of Buildings	Perches	Market Value LKR	Revalued Date
Colombo 06	1	39.58	450,000,000	31.03.2019
Ratmalana	3	95.21	202,900,000	31.03.2018
Kandy	1	18.70	73,299,500	31.03.2018
Boralesgamuwa	-	83.10	58,170,000	31.03.2018
Negombo	1	31.10	38,320,000	31.03.2018
Galle	1	13.24	77,789,000	31.03.2018
Panadura	-	44.90	36,000,000	31.03.2020

The Company revalued all its investment properties at Panadura as at 31 March 2020, and the carrying value amounted to LKR 36.0 Million (2018/2019 - LKR 29.2 Million).

Investments

A description of the long term investments held as at 31 March 2020, is disclosed in Notes 15 and 16 to the financial statements.

Stated Capital and Revenue Reserves

The Company's stated capital and revenue reserves as at 31 March 2020 were LKR 186.7 Million and LKR 832.0 Million respectively (As at 31 March 2019 - LKR 186.7 Million and LKR 748.1 Million). The movement and composition of the stated capital and revenue reserves are disclosed in the Statement of Changes in Equity and in Note 22 to the financial statements. The capital reserve balance amounting to LKR 2,100,000/- has transferred to retained earnings during the year.

Share Information

The composition and distribution of shareholders and the details relating to earnings, dividends, net assets, market value per share and share trading are given in page no. 65 of the annual report. Market capitalisation, public holding percentage and number of public shareholders are given on the same, as additional disclosures.

Major Shareholders

The list of 20 largest shareholders of the Company, together with the share percentages held, is disclosed in page no. 66 of the annual report.

The Board of Directors

The Board of Directors of the Company as at 31 March 2020 and their brief profiles, are given in the Board of Directors section of this annual report.

Related Party Transactions

The Company's transactions with Related Parties, given in Note 30 to the Financial Statements, have complied with Colombo Stock Exchange Listing Rule 9.3.2 and the Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

Employment

The Company is an equal opportunity employer and does not discriminate on ethnic origin, religion, political opinion, gender, marital status, or physical disability. As at 31 March 2020, the total number of employees of the Company was 825 (As at 31 March 2019 - 869). The total cost of employee benefits for the year was LKR 499.5 Million. (LKR 493.7 Million - 2018/2019). There were no material, employee related or industrial relations related matters to be disclosed.

Corporate Governance

The Board of Directors makes all efforts to implement proper systems and structures of corporate governance best practices required to maintain an effective corporate governance framework. The Company has complied with Section 7.10 of the Listing Rules of the Colombo Stock Exchange on corporate governance and all relevant compliances are listed in the table in pages 14 to 17.

Donations

Donations made during the year amounted to LKR 800,369/- (LKR 953,234/- 2018/2019)

Statutory Payments

The Directors, to the best of their knowledge, are satisfied that all statutory payments due to employees and the Government have been paid, up to date.

Compliance with Laws and Regulations

To the best of the knowledge and belief of the Directors, the Company has not engaged in any activity, which contravenes laws and regulations of the country.

Risk Management

The Board evaluates and takes all possible action to mitigate any foreseeable risks as a matter of priority. The risk mitigation strategy is based on product diversification, market segmentation, introducing innovations and productivity improvement. A brief discussion on Enterprise Risk Management is given on page No 21 to 23 of this annual report.

Events Subsequent to the Balance Sheet Date

There are no circumstances since the Balance Sheet date, which would require adjustments to, or disclosure in the accounts, other than those disclosed in Note No. 33 to the financial statements.

Major Transactions

There were no major transactions of material effect, other than those which are disclosed in the annual report.

Going Concern

The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future, to justify adopting the going concern basis in preparing these financial statements.

Auditors

The Directors have resolved to appoint M/S. SJMS Associates, Chartered Accountants, as the auditors of the Company and to hold office until the conclusion of the next Annual General Meeting.

Dividends

The Directors recommend a final dividend of LKR 1.50 per ordinary share for the financial year ended 31st March 2020.

Directorate and Shareholdings

The Board of Directors, consisting of Mrs. Aban Pestonjee (Chairperson), Mr. Behman Pestonjee, Mr. Athula Siriwardane, Mrs. Dayangani Priyanthi Peiris, Mr. Kumar De Silva and Mr. Dinal Phillips, held office throughout the year ended 31st March 2020.

The Directors retiring in rotation in terms of the Articles of Association are; Mr. Athula Siriwardane and Mrs. Dayangani Priyanthi Pieris. These Directors being eligible, offer themselves for re-election and the Directors are pleased to recommend their re-election.

Name	Beginning of the Year No. of Shares	End of the Year No. of Shares
Mrs. Aban Pestonjee	293,438	293,438
Mr. Behman Pestonjee*	120	2,620
Mr. Athula Siriwardane	Nil	Nil
Mrs. Dayangani Priyanthi Pieris	Nil	Nil
Mr. Kumar De Silva	Nil	Nil
Mr. D M R Phillips	Nil	Nil

* This includes 90 shares held by Mr. B. Pestonjee through First Capital Markets Ltd.

Directors' Interests

Directors' Interests in contracts of the Company are included in Note No. 31 to the financial statements. The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct or indirect interest in any other contract or proposed contract of the Company. The Company is in compliance with Rule 09 of the Listing Rules of the Colombo Stock Exchange pertaining to related party transactions, during the financial year.

Reports to the Public

The Company publishes its quarterly financial statements and annual report, enabling stakeholders and the public to make a fair appraisal of the Company's performance.

By Order of the Board,

Sgd

Varners International (Private) Limited

Secretaries

The Board of Directors are responsible under sections 150 (1), 151, 152 (1) & 153 of the Companies Act No. 7 of 2007, for preparing the financial statements of the Company in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS), while selecting and applying appropriate accounting policies, reasonable and prudent judgments and estimates, on a consistent basis.

The Statement of Profit or Loss and Other Comprehensive Income of the Company shall provide a true and fair view of the financial performance of the Company and the Statement of Financial Position, shall present a true and fair view of the state of affairs of the Company.

In addition, the Directors shall ensure that the said financial statements provide the required information and make relevant disclosures, to comply with the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange.

The Directors are also required to ensure that the Company has adequate resources to continue operations in the foreseeable future to justify applying the going concern basis in preparing these financial statements.

The Directors are also responsible to establish a proper internal control system to prevent and detect fraud and other financial irregularities to safeguard assets, and to execute and record all transactions with proper authorisation.

The Directors are required to provide the external auditors, with every opportunity to carry out reviews and tests, which are appropriate to perform their responsibilities and express their opinion regarding the financial statements of the Company.

By order of the Board

Sgd

Varners International (Private) Limited

Secretaries

Colombo

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

Report On the Audit of the Financial Statements

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company"), which comprise the statement of financial position as at 31st March 2020, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2020, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk Description

The coronavirus outbreak since early 2020 has brought about additional uncertainties in the Company's operating environment and has impacted the Company's operations. The Company has been closely monitoring the impact of the developments on the Company's businesses and has put in place contingency measures.

Note 4.18 in the Financial Statements, describes the impact of COVID-19 outbreak to the current year financial statements and the possible effects of the future implications to the Company. Management have described how they plan to deal with these events and circumstances as the outbreak is prevailing, the effect of the outbreak is subject to significant level of uncertainty.

Accordingly, the management assessment on going concern of the company, the estimation uncertainties involved in preparing these financial statements, specifically in estimating impairment provisions relating to trade receivables are key areas in assessing how the company is facing the COVID-19 outbreak. We identified the disclosures relating to management assessment on going concern and the estimation uncertainty resulting due to COVID-19 as a key audit matter because the assessment involves consideration of future events which are inherently uncertain, and involves significant management judgment in assessing future projections.

How our audit addressed the key audit matters

- 1) Obtaining the Company's profitability and cash flow projections covering a period of not less than twelve months from the reporting period end date and challenging the key assumptions used in preparing the projections and inquiring the management plans and strategies on credit risk, liquidity risk and the exchange rate risk management evaluating the reasonability of the management plans highlighted.
- 2) Evaluating the appropriateness of the assumptions used for the estimates and assessing whether the estimates reflected the latest economic conditions pursuant to the COVID-19 outbreak.
- 3) Inspecting the availability of the credit facility arrangements for the Company to manage the liquidity on a short term and long-term basis assessing the implication of these on the Company's liquidity;
- 4) Assessing the adequacy of the financial statements disclosures in relation to the impact of the uncertainty of COVID-19.

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance, conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such an internal control, as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuS, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud that is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubts on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

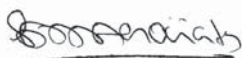
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2347.



SJMS ASSOCIATES
Chartered Accountants
19th August 2020
Colombo

Statement of Profit or Loss and Other Comprehensive Income

For the Year Ended 31st March 2020

	Note	2019/2020 Rs.	2018/2019 Rs.
Revenue	5	2,986,136,172	2,870,557,754
Cost of sales		(2,544,787,864)	(2,473,004,162)
Gross profit		441,348,308	397,553,592
Other income	6	82,358,721	70,075,361
Change in fair value of investment property	13	6,800,000	9,040,000
Distribution cost		(49,426,789)	(71,314,785)
Administrative expenses		(278,540,901)	(261,337,562)
Finance and other expenses	7	(77,278,033)	(67,470,181)
Profit before taxation	8	125,261,306	76,546,425
Tax expenses	9	(38,688,114)	(2,202,142)
Profit for the year		86,573,192	74,344,283
Other comprehensive income, net of income tax			
Items that will not be reclassified subsequently to comprehensive income:			
Actuarial gain or loss on defined benefit obligations		10,582,141	3,425,812
Gain on revaluation of property, plant and equipment		-	102,837,600
Other comprehensive income for the year, net of tax		10,582,141	106,263,412
Total comprehensive income for the year		97,155,333	180,607,695
Earnings per share - basic/ diluted	10	16.94	14.55
Dividends per share (paid)	11	3.00	2.00

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Statement of Financial Position

For the Year Ended 31st March 2020

33

Abans Electricals PLC
Annual Report 2019/2020

	Note	31.03.2020 Rs.	31.03.2019 Rs.
Non Current Assets			
Non Current Assets			
Property, plant and equipment	12	1,290,046,263	1,220,448,820
Capital work in progress	12.2	3,437,451	47,504,956
Right of use assets	12.3	64,086,655	-
Investment property	13	36,000,000	29,200,000
Intangible assets	14	4,135,289	70,817
Investments in subsidiary	15	11,454,000	11,454,000
Financial investments at amortised cost	16	310,645,767	251,155,519
Total Non Current Assets		1,719,805,425	1,559,834,112
Current Assets			
Inventories	17	747,888,705	529,926,783
Trade and other receivables	18	233,008,319	158,347,820
Advances, deposits and prepayments	19	34,639,359	41,090,146
Amounts due from related parties	20	424,299,287	449,572,842
Income tax receivable	27	-	7,169,465
Cash at bank and in hand	21	36,946,040	48,582,203
Total Current Assets		1,476,781,710	1,234,689,259
Total Assets		3,196,587,135	2,794,523,371
Capital and Reserves			
Stated capital	22	186,732,000	186,732,000
Capital reserves		-	2,100,000
Revaluation reserve	22.1	412,748,959	412,748,959
Retained earnings		831,993,972	748,070,319
Total Equity		1,431,474,931	1,349,651,278
Non Current Liabilities			
Borrowings	23.1	153,133,246	113,972,800
Retirement benefit obligation	24	84,617,960	85,055,977
Deferred tax liability	25	184,123,488	183,323,390
Non Current Liabilities		421,874,694	382,352,167
Current Liabilities			
Trade and other payables	26	648,356,954	348,212,163
Income tax payable	27	16,029,026	-
Deferred service income	28	93,507,662	84,932,728
Amounts due to related parties	29	115,065,112	111,259,467
Borrowings	23.2	470,278,756	518,115,568
Current Liabilities		1,343,237,510	1,062,519,926
Total Liabilities		1,765,112,204	1,444,872,093
Total Equity and Liabilities		3,196,587,135	2,794,523,371

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.



Head of Finance - (Manufacturing Department)



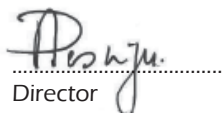
Head of Finance - (Service Department)

The Board of Directors are responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board of Directors by the following on;

Date : 19/08/2020

Colombo.



Director



Director

The accounting policies and notes from 01 to 37 form an integral part of these Financial Statements.

Statement of Changes In Equity

For the Year Ended 31st March 2020

	Stated Capital Rs.	Capital Reserves Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Equity Rs.
Balance as at 1st April 2018	186,732,000	2,100,000	309,911,359	680,521,344	1,179,264,703
Net profit for the year	-	-	-	74,344,283	74,344,283
Other comprehensive income for the year	-	-	102,837,600	3,425,812	106,263,412
Final dividend 2017/2018	-	-	-	(10,221,120)	(10,221,120)
Balance as at 31st March 2019	<u>186,732,000</u>	<u>2,100,000</u>	<u>412,748,959</u>	<u>748,070,319</u>	<u>1,349,651,278</u>
Net profit for the year	-	-	-	86,573,192	86,573,192
Transfer of reserves	-	(2,100,000)	-	2,100,000	-
Other comprehensive income for the year	-	-	-	10,582,141	10,582,141
Final dividend 2018/2019	-	-	-	(15,331,680)	(15,331,680)
Balance as at 31st March 2020	<u>186,732,000</u>	<u>-</u>	<u>412,748,959</u>	<u>831,993,972</u>	<u>1,431,474,931</u>

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Cash Flow Statement

For the Year Ended 31st March 2020

35
Abans Electricals PLC
Annual Report 2019/2020

	2019/2020 Rs.	2018/2019 Rs.
Net profit/(loss) before taxation	125,261,306	76,546,426
Adjusted for:		
Actuarial gain / loss on defined benefit plan	12,785,934	4,366,131
Profit from sale of property, plant and equipment	(10,384,492)	(13,155,644)
Depreciation and amortisation	103,442,510	70,624,693
Defined benefit plan costs	6,461,733	15,206,285
Finance expenses	77,278,033	67,470,181
Interest income	(30,614,783)	(23,698,905)
Bad debts (reversal) / provision	(6,177,932)	5,998,191
Provision for obsolete stock	19,793,353	13,072,762
Write back of unclaimed dividends	(2,548,915)	-
Change in fair value of investment property	(6,800,000)	(9,040,000)
Deferred income	(111,676,887)	(106,085,694)
Cash flow from operating activities before working capital changes	176,819,860	101,304,425
(Increase) / decrease in trade and other receivables	(68,482,567)	(21,755,294)
(Increase) / decrease in deposits, advances and prepayments	6,450,787	7,235,922
(Increase) / decrease in inventories	(237,755,275)	51,124,391
(Increase) / decrease in amounts due from/to related companies - Net	29,079,200	92,058,664
Increase / (decrease) in trade and other payables	420,148,141	(40,660,760)
	326,260,146	189,307,348
Tax paid	(16,893,319)	(54,351,553)
Interest paid	(64,604,972)	(63,189,073)
Gratuity paid	(6,899,750)	(16,517,729)
Net cash flows (used in) / from operating activities	237,862,105	55,248,994
Investing activities		
Interest income	30,614,783	23,698,905
Purchase of property, plant and equipment	(110,439,634)	(234,106,511)
Proceeds from disposal of property, plant and equipment	11,647,685	17,577,258
Investment net in fixed deposits	(59,490,248)	(80,588,243)
Net cash flows (used in) / from investing activities	(127,667,414)	(273,418,591)
Financing activities		
Dividend paid	(15,331,680)	(10,221,120)
Receipt of long term loans	30,000,000	150,000,000
Repayment of long term loans	(35,882,373)	(17,758,525)
Repayment of long term lease liabilities	(27,096,531)	-
Net movement in short term loans	(86,018,855)	73,751,484
Net cash flows (used in) / from financing activities	(134,329,439)	195,771,839
Net increase /(decrease) in cash and cash equivalents	(24,134,748)	(22,397,759)
Cash and cash equivalents at the beginning of the year	36,852,914	59,250,673
Cash and cash equivalents at the end of the year	12,718,166	36,852,914
Cash and cash equivalents at the beginning of the year		
Cash at bank and in hand	48,582,203	73,608,395
Bank overdraft	(11,729,289)	(14,357,722)
	36,852,914	59,250,673
Cash and cash equivalents at the end of the year		
Cash at bank and in hand (Note 21)	36,946,040	48,582,203
Bank overdrafts (Note 23.5)	(24,227,874)	(11,729,289)
	12,718,166	36,852,914

The accounting policies and notes from 01 to 37 form an integral part of these Financial Statements.

1. Corporate information**1.1. General**

Abans Electricals PLC is a public limited liability company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the company is located at 498, Galle Road, Colombo 3 and the principal places of business are situated at 126, Airport Road, Ratmalana, and 506B Galle Road, Colombo 06.

1.2. Principal activities and nature of operations

The principal activities of the company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services of similar type of appliances and installation of roof top Solar PV systems.

1.3. Parent entity

The company does not have an identified Parent. However, Abans PLC has a significant influence over the company through the holding of 42.95% equity stake.

1.4. Date of authorization for issue

The financial statements of the company for the year ended 31 March 2020 were authorized for issue under a resolution of the Board of Directors on 19 August 2020.

2. Basis of preparation**2.1. Statement of compliance**

The financial statements of the company (statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) is prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2. Basis of measurement

The financial statements have been prepared on a historical cost basis, except the defined benefit obligation, which is recognized at its present value, Property Plant & Equipment (Land and building) which are carried at revalued amounts and Investment Property which are carried at fair value.

2.3. Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.4. Comparative information

The company has applied Sri Lanka Accounting

Standard SLFRS 16 - Leases for the first time with effective from 01 April 2019.

Leases

The Company has adopted SLFRS 16 using the modified retrospective method from 1 April 2019, without restating comparatives for the 2018/19 reporting period, as permitted under the specific transitional provisions in the standard. The company elected to use the transitional practical expedient not to reassess whether a contract is or contains a lease as at 01st April 2019 and instead, the company applied the standard only to the contracts that were previously identified as leases applying LKAS 17 at the date of initial application. The company recognised right of use assets and lease liabilities for those leases previously. The details of accounting policies under both LKAS 17 and SLFRS 16 are presented separately below.

Policies applicable from 1 April 2019

The Company as a lessee

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable;

The lease liability is presented in note 23 to the financial statement.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

The Company did not make any such adjustments during the periods presented.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day, less any lease incentives received and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. If a lease transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the Company expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset. The depreciation starts at the commencement date of the lease.

The right-of-use assets are presented as a separate line in the statement of financial position.

The Company applies LKAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Property, Plant and Equipment' policy.

Variable rents that do not depend on an index or rate are not included in the measurement of the lease liability and the right-of-use asset. The related payments are recognised as an expense in the period in which the event or condition that triggers those payments occurs and are included in 'Other expenses' in profit or loss.

Accounting treatment prior to 1 April 2019

As a lessee, the Company previously classified lease as operating, or finance leases based on its assessment of whether the lease transferred significant all of the risks and rewards incidental to the Company.

2.5 Materiality and aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. Significant accounting judgments, estimates and assumptions

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the company to make judgments, estimates and assumptions that

affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The company is subject to income taxes and other taxes including value added taxation, Excise duty and Nation Building tax. Significant judgment was required to determine the total provision for current, deferred and other taxes.

The company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and, deferred tax amounts in the period in which the determination is made.

b) Useful life-time of the property, plant and equipment, intangible assets

The company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) Classification of investment properties

Management judgment is required to determine whether a property qualifies as an investment property. Properties held to earn rentals or for capital appreciation or both and which generate cash flows largely independently of the other assets held by the company are accounted for as investment properties. On the other hand, properties used for operations or in the process of providing services or for administrative purposes and which do not directly generate cash flows as standalone assets are accounted for under property, plant and equipment. The company assesses on an annual basis, the accounting classification of its properties taking into consideration the current use of such properties

d) Fair value measurement of property, plant and equipment (Land and buildings) and investment properties

Property, plant and equipment and investment properties of the company are measured at fair value for the purposes of preparing the financial

statements. Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment properties are disclosed in note 12.

e) Going concern

The Directors have made an assessment of the company's ability to continue as a going concern by considering COVID-19 impact as disclosed in note 4.18 and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the financial statements continue to be prepared on the going concern basis.

f) Impairment losses on financial assets – Trade receivables

The company determines the impairment losses on trade receivables based on expected loss model. This involves significant judgments in determining the future losses expected to be derived, due to the default in future payments, by the debtors.

g) Impairment of non- financial assets

An impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions in an arm's length transaction of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-in flows and the growth rate used for extrapolation purposes.

h) Deferred tax liability

Deferred tax liability are recognized for all deductible temporary differences. Significant management judgments are required to determine the amount of deferred tax liability that can be recognized, based on the likely timing and level of future taxable profits together with future tax planning strategies.

Notes to Financial Statements

For the Year Ended 31st March 2020

ij) Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

j) Right of use assets and incremental borrowing rate

The Company uses its judgment in determining whether an operating lease contracts qualifies for recognition of right of use assets. The company applies judgments in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. The company considers all relevant factors that create an economic benefits for it to exercise either the renewal or termination. Further the company cannot readily determine the interest rate implicit in the lease. Therefore, it uses the incremental borrowing rate to measure operating lease liability. The incremental borrowing rate is the rate of interest that the group would have to pay to borrow over a similar term and with similar security the funds necessary to obtain an asset of a similar value to the right of use asset in similar economic environment.

4. Summary of significant accounting policies

The significant accounting policies applied by the company in preparation of its financial statements are included below.

4.1 Revenue recognition

The Company recognizes revenue from contracts with customers when control of the goods or services is transferred to the customer at an amount that reflects the consideration that the company is to be entitled in exchange for those goods or services. Determining the timing of the transfer of control of goods or services, at a point in time or over time, requires judgements taking into consideration the nature of goods or services that Company offers.

When contracts include multiple deliverables. Where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the standalone selling prices. Where these are not directly observable, they are estimated based on expected cost plus margin.

Sale of goods

Revenue from the sale of goods is recognised at the point in time when control of the goods is transferred to the customer, usually on delivery of the goods. Sales are measured at the fair value of the consideration received or receivable excluding amounts collected on behalf of third parties (e.g. Sales taxes).

Rendering of services

Revenue from rendering of services is recognised when the service is performed.

4.1.1 Interest income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.2 Dividend income

Dividend income is recognised in the statement of comprehensive income on an accrual basis when the company's right to receive the dividend is established.

4.1.3 Contract liabilities

Advances received from the customers for the future maintenance services are recognized as deferred service income at the time of related payment is made by the customers. This has been categorized as a contract liability as per SLFRS 15. Upon the delivery of such maintenance services the related consideration is recognized in the revenue.

Deferred income

The service income of the company is recognized over the warranty period, since the company is obliged to provide service for the agreed warranty period.

4.1.4 Other income

Other income is recognized on an accrual basis.

4.2 Expenditure recognition

Expenses are recognized in the statement of comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the

basis that it presents fairly the elements of the company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of comprehensive income.

4.3 Taxation

4.3.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

4.3.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences. The carrying amount of a deferred tax asset is reviewed at each reporting date and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each date of the Statement of Financial Position and are recognised to the extent that it is probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or substantially enacted at the reporting date.

4.4 Non-financial asset

4.4.1 Property, plant and equipment and investment properties

Recognition and measurement

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost model

The company applies the cost model to property plant and equipment except for free hold land and building.

Revaluation model

The Entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. The fair value of land and buildings are determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets. Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement, in which case the increase is recognised in the income statement to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the income statement and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the income statement. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent measurement

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment.

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rates of depreciations are based on the estimated useful lives.

Category of asset	Useful life	
	2020	2019
Building and installation	Over 40 years	Over 40 years
Plant and machinery	Over 10 years	Over 10 years
Furniture and fittings	Over 10 years	Over 10 years
Fixtures and fittings	Over 10 years	Over 10 years
Office equipment	Over 10 years	Over 10 years
Tools	Over 10 years	Over 10 years
On loan assets	Over 5 years	Over 5 years
Motor vehicles	Over 4 years	Over 4 years
Computer equipment	Over 4 years	Over 4 years

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

Derecognition

Property, plant and equipment are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of comprehensive income in the year the asset is derecognised.

Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (LKAS 40) – Investment Properties. The cost of the investment property comprises of its purchase price and any directly attributable expenditure.

4.4.2 Intangible assets – Computer software
Basis of recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software cost incurred, licensed to be used by the company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the statement of financial position under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent Expenditures

Subsequent expenditures on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortisation

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is estimated as four years.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

Derecognition

An Intangible Asset is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the derecognition of such intangible assets is included in profit or loss when the item is derecognised.

4.4.3 Impairment of non-financial assets

An impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions in an arm's length transaction of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash - inflows and the growth rate used for extrapolation purposes.

4.5 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw materials:	At actual cost on FIFO (first-in first-out) basis
Work-in -progress:	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour
Manufactured finished goods:	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods:	At actual cost on first-in first-out basis
Consumables and spares:	At actual cost on first-in first-out basis
Goods in transit:	At actual cost

4.6 Financial assets – recognition and measurement

4.6.1 Recognition

All financial assets recognition

All financial assets and liabilities are initially recognised on trade date, the date that the company becomes a party to the contractual provisions of the instrument.

4.6.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. All financial instruments are initially measured at fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss. Transaction costs in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the income statement.

4.6.3 Measurement categories of financial instruments

With effect from 01st April 2017, the company classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either;

- Amortised cost
- Fair value through profit or loss (FVTPL)

4.6.3.1 Amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, these are subsequently measured at amortised cost (gross carrying amount using the effective interest rate -EIR, less provision for impairment). Amortised cost is

calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in interest income while the losses arising from impairment are recognised in impairment charges for loans and other losses in the income statement.

The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest rate (EIR) method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance (ECL).

4.6.4 Reclassification of financial assets

When the company reclassifies the financial assets, it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains or losses (including impairment losses) or interest. Financial liabilities are never reclassified. When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in profit or loss. When a financial asset is reclassified out of the fair value through profit or loss measurement category and into amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount. Reclassification is at the discretion of management, and is determined on an instrument - by - instrument basis. Further the company does not reclassify any financial instrument out of the fair value through profit or loss category if upon initial recognition it was designated as fair value through profit or loss.

4.6.5 Derecognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- the rights to receive cash flows from the asset have expired.
- the company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either:
 - the company has transferred substantially all the risks and rewards of the asset or
 - the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

4.7 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i. e. three months or less from the date of acquisition are also treated as cash equivalents.

4.8 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.9 Retirement benefit obligations

4.9.1 Defined benefit plan – gratuity

The company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The company's obligations under the said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.9.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' Trust Fund

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.10 Financial liabilities

All financial liabilities are measured subsequently at amortised cost using effective interest method.

4.10.1 Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in statement of comprehensive income.

4.11 Grant receipt

Grants received from Principle Supplier whose primary condition is that to display their Logo in the company's service bus for first five years of period and that are recognized as deferred revenue in the statement of financial position and transferred to statement of comprehensive income on a systematic and rational basis over the useful lives of the related assets.

4.12 Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of comprehensive income net of any reimbursement.

4.13 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.14 Subsidiaries

Subsidiaries are entities controlled by the company. The company controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of the subsidiary

is included in the financial statement from the date on which control commences until the date on which control ceases. However, the investment in subsidiary of the company is currently in under winding up process and the company does not have a control over the relevant activities of the entity.

This financial statements includes, only the cost of the invested in subsidiary, as it is under the winding up process.

4.15 Segmental information

For management purposes, the company has organized three operating segments based on products and services, as follows:

- Manufacturing and assembling
- Services
- Solar Installation

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.16 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non - financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by reassessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

4.17 New accounting standards issued but not yet effective

Following amendments to Sri Lanka Accounting Standards issued not yet effective as at the reporting date have not been applied in preparing the Financial Statements. The company plans to apply these amendments to the standards from their effective dates:

A summary of the requirements stipulated by the amendments and their possible impact on financial statements are given below;

Sri Lanka Accounting Standard (SLFRS 17) – Insurance Contracts

The above standard is not applicable to company.

Amendments to Sri Lanka Accounting Standard - LKAS 1 Presentation to Financial Statements and Sri Lanka Accounting Standard - LKAS 8 Accounting Policies, Changes in Accounting Estimates and Errors

The amendments LKAS 1 - Presentation of Financial Statements and LKAS 8 Accounting policies, Changes in accounting Estimates and Errors align the definition of “material” across the standard and clarify certain aspects of the definition. The new definition states that, “information is material if omitting or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

Notes to Financial Statements

For the Year Ended 31st March 2020

The amendments are applied prospectively for the annual periods beginning on or after 1st January 2020 with early application permitted.

4.18 COVID 19 Impact to the business

In light of ongoing COVID-19 pandemic situation, the Company has assessed its going concern and a detailed disclosure of its assessment are provided below.

With the onset of COVID-19 in Sri Lanka and the consequent business and movement restrictions, the Company's operations were adversely affected from the second half of the month of March 2020. During this financial period, 72% of the purchases of manufacturing division are from mostly affected countries, such as China, Korea, India, Thailand and Italy, therefore there has been a significant disruption to supply chain management. However as of the audit report date those countries have lifted their lockdown period and are back to normal.

The company had placed sufficient material and parts orders to its foreign suppliers at the initial stage of the Covid 19 pandemic. However the company experienced slight delay in receiving those goods due to the limited operations by international shipping lines and at the port. Currently the company has sufficient inventory to meet the next 06 months demand requirement of its customers. Further all its foreign supplier countries have already eased their lockdown restrictions and resumed production. The local suppliers have also resumed their operations and ensured supplies to the company. Therefore we believe that the company will not have any adverse impact on its supply chain.

The operations of the company were largely restricted during March, April and May 2020 due to curfew in the country. The manufacturing plant was temporary closed from 20th March 2020 onwards and resumed on 11th May 2020 at the required capacity to meet the demand. The after-sales service across the island was also disrupted during the curfew period but the company could attend to most of the essential service customers' after-sales requests during the curfew period with special curfew passes. However service operations were gradually restored in the districts where curfew was lifted. The company adopted all the health and safety guidelines published by the Health Authorities in Sri Lanka prior to resuming both manufacturing and service operations.

In determining the basis of preparing the financial statements for the year ended 31 March 2020, based on available information, the management has assessed the existing and anticipated post lockdown economic implications on the Company and the appropriateness of the use of the going concern basis.

The management is confident of getting additional funding to finance the adverse effect to the cash flow, ability to secure supplies, expected revenue streams, credit and collection management practices and ability to defer non-essential capital expenditure. Unutilised bank facilities of the Company as at 31st March 2020 are disclosed in Note 23.6.

With the relaxation of movement restrictions and gradual restoration of business activities, the company is expected to return to its normal level of activities by the end of the second quarter.

After due consideration of risks and likelihood of outcomes, the Board of Directors is satisfied that the Company has adequate liquidity and business plans to continue to operate the business and mitigate the risks connected to the lockdown for the next 12 months from the date of this report.

The impact and how management is planning to mitigate risk on currency risk, credit risk and liquidity risk are disclosed in note 36 to the financial statements.

Temporary Suspension of Imports

As per the Gazette notice issued on 16th April 2020, the government imposed a 90 - day restriction on selected items. However company managed to import such restricted items with the approvals of the Import and Export Controller.

Notes to Financial Statements

For the Year Ended 31st March 2020

	2019/2020 Rs.	2018/2019 Rs.
5. Revenue		
Manufacturing department	2,126,883,618	2,042,526,572
Services department	859,252,554	828,031,182
	<u>2,986,136,172</u>	<u>2,870,557,754</u>
6. Other income		
Scrap and sundry parts sales	5,535,910	6,970,851
Transport and warehouse income	17,088,718	15,984,293
Interest income	30,213,552	22,936,659
Interest on over due payment	528	2,099
Interest on REPO investment	400,703	760,148
Insurance claim	758,790	735,474
Interest on employee loan	1,655,528	2,119,036
Profit from sale of property, plant & equipment	10,384,492	13,155,644
Exchange gain	-	3,275,628
Franchise management fee	-	22,267
Rent income	4,884,000	4,113,263
Solar power generating income	8,786,534	-
Registration fees income	16,000	-
Discount	85,051	-
Write back of unclaimed dividends	2,548,915	-
	<u>82,358,721</u>	<u>70,075,361</u>
7. Finance and other expenses		
Exchange losses	3,132,973	-
Term loan interest	16,969,203	8,279,564
Bank charges and commission	1,787,679	1,826,963
Overdraft interest	1,241,402	4,034,775
Interest on import loan	40,584,375	50,892,058
Stamp duty	278,838	783,550
Interest on employee loan	1,345,653	1,272,488
Interest on vehicle loan	180,082	380,783
Lease interest	11,757,828	-
	<u>77,278,033</u>	<u>67,470,181</u>
8. Profit before taxation		
Profit from operations is stated after charging all expenses including the followings :		
Directors remuneration	3,433,218	5,809,672
Depreciation and amortisation	79,582,031	70,624,693
Depreciation of right of use asset	23,860,479	-
Staff costs (excluding defined contribution plan and defined benefit plan)	418,676,371	414,271,489
Defined contribution plan cost	61,591,160	59,900,899
Defined benefit plan cost	19,247,667	19,572,416
Donations	800,369	953,234
Auditor's remuneration	1,078,802	1,076,979
Legal fees	391,455	476,301

Notes to Financial Statements

For the Year Ended 31st March 2020

47

Abans Electricals PLC
Annual Report 2019/2020

	2019/2020 Rs.	2018/2019 Rs.
9. Tax expenses		
For the year ended 31st March		
Income tax expense		
Current year (Note 9.1)	40,091,809	23,217,106
(Over) / under provision for the last year	-	-
	<u>40,091,809</u>	<u>23,217,106</u>
Deferred tax expense		
Origination / (reversal) of deferred tax assets	(7,420,519)	(24,252,412)
Origination / (reversal) of deferred tax liabilities	6,016,823	3,237,448
	<u>(1,403,695)</u>	<u>(21,014,964)</u>
Tax expense	<u>38,688,114</u>	<u>2,202,142</u>
9.1 Reconciliation of accounting profit and taxable income		
Profit for the year	86,573,192	74,344,283
Current tax expense (Note 27)	40,091,809	23,217,106
Origination / (reversal) of deferred tax assets	(7,420,519)	(24,252,412)
Origination / (reversal) of deferred tax liabilities	6,016,823	3,237,448
Profit before tax	125,261,306	76,546,425
Tax rates applicable	28%, 24% and 18%	28%
Income tax for the year @ 28%	-	21,432,999
Income tax for first 9 months @ 28%	26,304,874	-
Income tax for second 3 months @ 24% - Services	4,364,773	-
Income tax for second 3 months @ 18% - Manufacturing	2,363,179	-
Total income tax for the year	<u>33,032,826</u>	<u>21,432,999</u>
Less: Exempted interest income	8,259,172	6,635,693
Tax effect on disallowable expenses	36,750,359	30,594,825
Tax effect on allowable expenses	(30,450,488)	(29,843,841)
Tax effect on income from other sources and exempt income	(66,587,675)	(50,708,686)
Tax effect on tax profit on disposal of capital assets	2,865,314	3,753,910
Tax effect on deferred service income received during the year	56,222,300	41,352,206
Assessable income	<u>40,091,809</u>	<u>23,217,106</u>
Less: Deductions	-	-
Total current income tax	40,091,809	23,217,106
10. Earnings per share - basic/ diluted		
Basic Earnings per Share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.		
Amount used as the numerator		
Profit attributable to ordinary shareholders	86,573,192	74,344,283
Amount used as the denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per share - basic/diluted	<u>16.94</u>	<u>14.55</u>
11. Dividends per share		
Dividends per share (paid)	<u>3.00</u>	<u>2.00</u>

12. Property, plant and equipment

Net book value of freehold assets (Note 12.1)

12.1 Freehold assets**Cost / revaluation**

	As at 01.04.2018 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfer of accumulated dep Rs.	Transfer from CWIP Rs.	Revaluation Rs.	As at 31.03.2019 Rs.
Land and land development	529,268,000	-	-	-	-	109,500,000	638,768,000
Building	229,930,501	28,937,419	(1,550,000)	-	-	33,330,000	290,647,920
Plant and machinery	301,528,881	143,068,847	-	-	-	-	444,597,728
Furniture and fittings	18,661,734	337,697	-	-	-	-	18,999,430
Fixtures and fittings	15,357,450	5,642,143	-	-	-	-	20,999,593
Office equipment	20,345,237	200,159	(24,500)	-	-	-	20,520,896
Tools	51,322,145	3,742,213	(31,206)	-	-	-	55,033,152
Computer equipment	67,546,657	3,477,828	-	-	-	-	71,024,485
Motor vehicles	166,789,106	1,195,250	(26,329,461)	-	-	-	141,654,895
On loan asset	1,957,577	-	-	-	-	-	1,957,577
	1,402,707,287	186,601,555	(27,935,167)	-	-	142,830,000	1,704,203,674

Cost / revaluation

	As at 01.04.2019 Rs.	Additions During the year Rs.	Disposals during the year Rs.	Transfer of accumulated dep Rs.	Transfer from CWIP Rs.	Revaluation Rs.	As at 31.03.2020 Rs.
Land and land development	638,768,000	-	-	-	-	-	638,768,000
Buildings	290,647,920	-	-	-	-	-	290,647,920
Plant and machinery	444,597,728	76,924,644	-	-	-	-	521,522,372
Furniture and fittings	18,999,430	586,582	-	-	-	-	19,586,012
Fixtures and fittings	20,999,593	456,382	(22,100)	-	47,785,474	-	69,219,349
Office equipment	20,520,896	6,397,443	(124,000)	-	-	-	26,794,339
Tools	55,033,152	3,192,543	(24,947)	-	-	-	58,200,748
Computer equipment	71,024,485	12,498,173	-	-	-	-	83,522,658
Motor vehicles	141,654,895	1,665,897	(14,298,502)	-	-	-	129,022,290
On loan asset	1,957,577	-	-	-	-	-	1,957,577
	1,704,203,675	101,721,665	(14,469,549)	-	47,785,474	-	1,839,241,265

12.1 Freehold assets *Contd.,*

	As at 01.04.2018	Depreciation during the year	Depreciation on disposals	Transfer of accumulated dep	Transfer from CWIP	On revaluation	As at 31.03.2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Depreciation							
Buildings	-	6,382,397	(1,550,000)	-	-	-	4,832,397
Plant and machinery	197,918,421	30,488,446	-	-	-	-	228,406,867
Furniture and fittings	11,231,174	1,172,646	-	-	-	-	12,403,820
Fixtures and fittings	7,872,989	1,598,822	-	-	-	-	9,471,811
Office equipment	14,836,789	1,360,116	(14,690)	-	-	-	16,182,214
Tools	25,043,327	5,037,009	(31,206)	-	-	-	30,049,130
Computer equipment	56,998,919	4,956,124	-	-	-	-	61,955,043
Motor vehicles	121,815,601	19,210,743	(21,917,657)	-	-	-	119,108,686
On loan asset	953,370	391,515	-	-	-	-	1,344,885
	436,670,589	70,597,819	(23,513,554)	-	-	-	483,754,855

	As at 01.04.2019	Depreciation during the year	Disposals	Transfer of accumulated dep	Transfer from CWIP	On revaluation	As at 31.03.2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Depreciation							
Buildings	4,832,397	7,266,198	-	-	-	-	12,098,595
Plant and machinery	228,406,867	36,555,927	-	-	-	-	264,962,794
Furniture and fittings	12,403,820	1,207,099	-	-	-	-	13,610,919
Fixtures and fittings	9,471,811	5,482,944	(22,100)	-	-	-	14,932,655
Office equipment	16,182,214	1,619,470	(107,319)	-	-	-	17,694,365
Tools	30,049,130	5,221,620	(10,588)	-	-	-	35,260,162
Computer equipment	61,955,043	6,372,635	-	-	-	-	68,327,678
Motor vehicles	119,108,686	14,528,024	(13,066,349)	-	-	-	120,570,361
On loan asset	1,344,885	392,588	-	-	-	-	1,737,473
	483,754,855	78,646,503	(13,206,356)	-	-	-	549,195,002

Net book value as at 31.03.2019

Net book value as at 31.03.2020

1,220,448,820
1,290,046,263

12. Property, plant and equipment Contd.,**Revaluation Land and Building**

All Freehold land and buildings of the Entity, except Colombo 06 property was valued by Mr.K.D.Sirisena a professional valuer on 31st March 2018 and the excess of Rs.430,432,443/- over the net book value as at 31st March 2018 has been credited to the revaluation reserve.

Freehold land and buildings of property at Colombo 06 was valued by Mr.U.S.Silva a professional valuer on 31st March 2019 and the excess of Rs.142,830,000/- over the net book value as at 31st March 2019 has been credited to the revaluation reserve. Due to the volatility of the land prices in Colombo 06 area, Management has decided to revalue it's land and buildings in Colombo 06 as of 31.03.2019 as well.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March Property, plant and equipment	Land extent	Building area	No of buildings	Date of valuation	Fair value (Rs.)
Property at Kandy	Perches 18.70	Sq.ft 5,081	1	31.03.2018	73,299,500
Property at Boralasgamuwa	Perches 83.10	-	-	31.03.2018	58,170,000
Property at Galle	Perches 13.24	Sq.ft.12,365	1	31.03.2018	77,789,000
Property at Negombo	Perches 31.1	Sq.ft 1,500	1	31.03.2018	38,320,000
Property at Colombo 06	Perches 39.58	Sq.ft 31,713	1	31.03.2019	450,000,000
Property at Rathmalana 1	Perches 83.41	Sq. ft.29,198	2	31.03.2018	185,600,000
Property at Rathmalana 2	Perches 11.80	Sq. ft.3,654	1	31.03.2018	17,300,000
					900,478,500

Fair value hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

Land and buildings	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
2020	-	-	900,478,500	900,478,500

The fair value measurement has been categorised as level 3 fair value based on the inputs to the valuation techniques used.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of land and buildings as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Property at Kandy	Open market	Price per perch and sq.ft	300,000/- per perch and 13,320 per Sq.ft
Property at Panadura	Open market	Price per perch	450,000/- per perch
Property at Boralasgamuwa	Open market	Price per perch	700,000/- per perch
Property at Galle	Open market	Price per perch and sq.ft	2,700,000/- per perch and 3,400 per Sq.ft
Property at Negombo	Open market	Price per perch and sq.ft	1,200,000/- per perch and 665 per Sq.ft
Property at Colombo 06	Open market	Price per perch and sq.ft	9,000,000/- per perch and 2,995 per Sq.ft
Property at Rathmalana 1	Open market	Price per perch and sq.ft	1,000,000/- per perch and 3,500 per Sq.ft
Property at Rathmalana 2	Open market	Price per perch and sq.ft	1,000,000/- per perch and 1,500 per Sq.ft

Increase/decrease in price per perch have a positive correlation with the fair value of the land and buildings.

12. Property, plant and equipment Contd.,

The carrying amount of revalued land and buildings if they were carried at cost less depreciation and impairment, would be as follows:

	31.03.2020 Rs.	31.03.2019 Rs.
Land and land development		
Cost	177,269,665	177,269,665
Accumulated Depreciation & Impairment	-	-
Carrying Value	177,269,665	177,269,665
Building		
Cost	238,264,231	238,264,231
Accumulated Depreciation & Impairment	(64,761,587)	(57,437,960)
Carrying Value	173,502,644	180,826,271

	As at 01.04.2019 Rs.	Additions during the year Rs.	Transfer to PPE Rs.	As at 31.03.2020 Rs.
12.2 Capital work in progress				
Solar power installation project in				
washing machine injection moulding plant	47,504,956	3,717,969	(47,785,474)	3,437,451
	47,504,956	3,717,969	(47,785,474)	3,437,451

12.3 Right of use assets

	Building Rs.	Total Rs.
Cost		
Balance as at 1 April 2019	-	-
Impact due to the adoption of SLFRs 16	87,947,134	87,947,134
Additions during the year	-	-
Balance as at 31 March 2020	87,947,134	87,947,134
Accumulated depreciation		
Balance as at 1 April 2019	-	-
Amortisation for the year	23,860,479	23,860,479
Balance as at 31 March 2020	23,860,479	23,860,479
Net book value as at 31 March 2020	64,086,655	64,086,655
Net book value as at 31 March 2019	-	-

The incremental borrowing rate applied to measure lease liabilities are ranging from 12.73%-13.23%.

	As at 01.04.2019 Rs.	Fair value gain during the year Rs.	Disposals during the year Rs.	As at 31.03.2020 Rs.
13. Investment property				
Market value	29,200,000	6,800,000	-	36,000,000
	<u>29,200,000</u>	<u>6,800,000</u>	<u>-</u>	<u>36,000,000</u>

Revaluation investment property

Investment property at Panadura was valued by Mr.U.S. Silva a professional valuer on 31st March 2020 and the excess of Rs.6,800,000/- (31st March 2019 - Rs. 9,040,000/-) over the net book value as at 31st March 2020 has been credited to Statement of Income.

As at 31 March	Land extent	Date of valuation	Fair value (Rs.)
Investment property			
Property at Panadura	Perches 44.90	31.03.2020	36,000,000

The fair value measurement has been categorised as level 3 fair value based on open market valuation technique.

14. Intangible assets

	As at 01.04.2019 Rs.	Additions during the year Rs.	Disposals during the year Rs.	As at 31.03.2020 Rs.
Cost				
Computer software	14,457,433	5,000,000	-	19,457,433
	<u>14,457,433</u>	<u>5,000,000</u>	<u>-</u>	<u>19,457,433</u>
Amortization				
Computer software	14,386,616	935,528	-	15,322,144
	<u>14,386,616</u>	<u>935,528</u>	<u>-</u>	<u>15,322,144</u>
Net book value on intangible assets	<u>70,817</u>			<u>4,135,289</u>

15. Investments in subsidiary

Abans Jung Poong (Pvt) Ltd.
114,540 Shares of Rs.100/- each

31.03.2020 Rs.	31.03.2019 Rs.
<u>11,454,000</u>	<u>11,454,000</u>

Abans Jung Poong (Pvt) Ltd has ceased its business operations in 1996/1997. The Board has taken the initiative to wind up the company under the creditors voluntary winding up.

The percentage owned by Abans Electricals PLC is 49.2% of Jung Poong (Pvt) Ltd, which represent Rs. 14.58 Mn of the total net assets value of Rs. 35.65 Mn (Land and building) consequently the company is certain about the full recovery of the investment of Rs 11.454 Mn after charging all relevant liquidation expenses.

Notes to Financial Statements

For the Year Ended 31st March 2020

53

Abans Electricals PLC
Annual Report 2019/2020

	31.03.2020 Rs.	31.03.2019 Rs.
16. Financial investments at amortised cost		
Investment in fixed deposits		
Peoples Bank	5,000,000	5,000,000
Bank of Ceylon	84,486,208	62,518,982
Seylan Bank PLC	733,984	684,358
Union Bank PLC	54,287,078	54,771,799
Sampath Bank PLC	65,221,024	38,617,355
Abans Finance PLC	100,917,473	89,563,026
	<u>310,645,767</u>	<u>251,155,519</u>
17. Inventories		
Raw material	676,891,023	449,542,051
Work-in-progress	2,710,095	4,478,431
Finished goods		
- Manufactured	7,697,247	7,078,284
- Imported	-	159,041
Goods in transit	100,641,908	88,927,190
	<u>787,940,273</u>	<u>550,184,998</u>
Less: Provision for damaged and obsolete stock (Note 17.1)	<u>(40,051,568)</u>	<u>(20,258,215)</u>
	<u>747,888,705</u>	<u>529,926,783</u>
17.1 Movement for the provision for damaged and obsolete stocks ;		
Balance at the beginning of the year	20,258,215	18,828,036
Further provisions made	35,167,944	13,072,762
Provisions written back	<u>(15,374,593)</u>	<u>(11,642,583)</u>
Balance at the end of the year	<u>40,051,568</u>	<u>20,258,215</u>
18. Trade and other receivables		
Financial assets		
Trade debtors	228,152,445	161,775,754
Less: Allowance for impairment of debtors (Note 18.1)	<u>(17,113,280)</u>	<u>(30,012,302)</u>
	<u>211,039,165</u>	<u>131,763,452</u>
Loans to employees	<u>19,623,784</u>	<u>24,023,108</u>
	<u>230,662,949</u>	<u>155,786,560</u>
Non financial assets		
Other receivables	<u>2,345,370</u>	<u>2,561,260</u>
	<u>233,008,319</u>	<u>158,347,820</u>
18.1 Movement of the allowance for impairment of debtors ;		
Balance at the beginning of the year	30,012,302	24,369,304
(Reversal of impairment) / impairment losses recognized during the year	<u>(6,177,932)</u>	<u>5,998,191</u>
Written off by utilising provisions	<u>(6,721,090)</u>	<u>(355,193)</u>
Balance at the end of the year	<u>17,113,280</u>	<u>30,012,302</u>

18. Trade and other receivables Contd.,

As at 31st March, the ageing analysis of trade receivables are as follows ;

	Past due but not impaired					
	Total Rs.	0 - 30 days Rs.	30 - 60 days Rs.	60 - 90 days Rs.	90-120 Rs.	Over 120 Rs.
2020	228,152,445	76,845,941	63,706,159	33,180,469	14,373,532	40,046,344
2019	161,775,754	47,333,269	37,038,126	18,404,447	10,839,425	48,160,487

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables that are neither past due nor impaired.

19. Advances, deposits and prepayments

	31.03.2020 Rs.	31.03.2019 Rs.
Advances	11,747,295	7,180,517
Deposits	10,346,853	6,258,068
Prepayments	12,545,211	27,651,561
	<u>34,639,359</u>	<u>41,090,146</u>

20. Amounts due from related parties

	31.03.2020 Rs.	31.03.2019 Rs.
Abans PLC	410,331,431	445,284,616
Abans Restaurant (Pvt) Ltd	25,270	25,270
Abans Jung poong (Pvt) Ltd	591,501	591,501
Abans Auto (Pvt) Ltd	97,451	-
Abans Engineering (Pvt) Ltd	9,214,995	3,066,107
Abans Financial Services Ltd	50,101	11,018
Abans Automation (Pvt) Ltd	7,213	15,830
ABS Courier (Pvt) Ltd	349,667	498,247
Crown City Developers (Pvt) Ltd	3,631,254	-
Abans Graphics (Pvt) Ltd	404	-
Abans Information Systems (Pvt) Ltd	-	80,253
	<u>424,299,287</u>	<u>449,572,842</u>

Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.

21. Cash at bank and in hand

	31.03.2020 Rs.	31.03.2019 Rs.
Cash in hand	2,435,197	2,476,913
Cash at bank	34,510,843	46,105,290
	<u>36,946,040</u>	<u>48,582,203</u>

22. Stated capital

	Number of shares	Value of shares (Rs.)
At 31st March 2020	5,110,560	186,732,000
At 31st March 2019	5,110,560	186,732,000

22.1 Revaluation reserve

	31.03.2020 Rs.	31.03.2019 Rs.
Balance at the beginning of the year	412,748,959	309,911,359
Revaluation gain	-	142,830,000
Deferred Tax on revaluation surplus	-	(39,992,400)
Balance at the end of the year	<u>412,748,959</u>	<u>412,748,959</u>

Notes to Financial Statements

For the Year Ended 31st March 2020

55

Abans Electricals PLC
Annual Report 2019/2020

	31.03.2020 Rs.	31.03.2019 Rs.
23. Borrowings		
23.1 Long term borrowings		
Term loan (Note 23.3)	104,035,086	113,972,800
SLFRS 16 Lease liability (Note 23.4)	49,098,160	-
	<u>153,133,246</u>	<u>113,972,800</u>
23.2 Short term borrowings		
SLFRS 16 Lease liability (Note 23.4)	21,628,118	-
Term loan (Note 23.3)	36,660,540	32,605,200
Import loans	384,964,837	469,499,971
Provision for interest	2,797,387	4,281,108
Bank overdraft (Note 23.5)	24,227,874	11,729,289
	<u>470,278,756</u>	<u>518,115,568</u>
23.3 Term loans from banks		
Balance at the beginning of the year	146,578,000	14,336,525
Loan granted during the year	30,000,000	150,000,000
Payment made during the year	(35,882,374)	(17,758,525)
Balance at the end of the year	<u>140,695,626</u>	<u>146,578,000</u>
Payable within one year	(36,660,540)	(32,605,200)
Payable after one year	<u>104,035,086</u>	<u>113,972,800</u>
23.4 Lease liability		
Balance at the beginning of the year	-	-
Additions during the year	87,947,134	-
Interest cost	9,875,674	-
Payment made during the year	(27,096,531)	-
Balance at the end of the year	<u>70,726,278</u>	<u>-</u>
Payable within one year	(21,628,118)	-
Payable after one year	<u>49,098,160</u>	<u>-</u>
23.5 Bank overdrafts		
Sampath Bank PLC	9,125,723	-
Commercial Bank of Ceylon PLC	15,102,151	11,729,289
	<u>24,227,874</u>	<u>11,729,289</u>

23.6 Terms and conditions of borrowing facilities

Facility	Security
Import and hypothecation loans	
Peoples Bank	- Primary floating mortgage bond of Rs. 250.0Mn over stock and book debts
Hatton National Bank PLC	- Primary floating mortgage bond Rs.400.0Mn over stock of refrigerator cabinets & components .
Sampath Bank PLC	- Primary floating mortgage bond of Rs. 350.0Mn over stock and book debts.
Commercial Bank of Ceylon PLC	- Floating primary mortgage for Rs. 550.0Mn over stocks and book debts
Term loan facilities	
Sampath Bank PLC	- Mortgage over vehicle purchased loan agreement for Rs 50.0Mn
Commercial Bank of Ceylon PLC	- Floating primary mortgage for Rs. 550.0Mn over stocks and book debts
Overdraft facilities	
Hatton National Bank PLC	- Primary floating mortgage bond for Rs. 60.0Mn over land & building situated at No. 126, Airport Road, Ratmalana.
Sampath Bank PLC	- Primary mortgage bond for Rs. 25.0Mn and secondary mortgage for Rs. 15.0Mn over premises at No 506 B , Galle Road, Wellawatte
Bank of Ceylon	- Hypothecation bond of over stock and book debts
People's Bank	- Hypothecation bond of over stock for Rs. 30.0Mn
Union Bank PLC	- Concurrent mortgage bond Rs. 30.0Mn over the company stock in trade & assignment of book debts
Commercial Bank of Ceylon PLC	- Floating primary mortgage for Rs. 550.0Mn over stocks and book debts
Lease facility	
Commercial Bank of Ceylon PLC	- Mortgage over asset (Solar PV system - Serial no AEL/FA/EO/FT/CM/0035, AEL/FA/EO/FT/CM/0036)
Letter of guarantee facility	
Sampath Bank PLC	- Master counter indemnity of the Company for Rs. 5.0Mn

* Unutilised bank facilities are amounting to Rs. 165.4Mn overdraft facilities and Rs. 965.0Mn import short term loan facilities as at 31st March 2020.

Notes to Financial Statements

For the Year Ended 31st March 2020

57

Abans Electricals PLC
Annual Report 2019/2020

24. Retirement benefit obligation

Balance at the beginning of the year

Interest cost

Current service cost

Actuarial (gain) / loss

Less : payments made during the year

Balance at the end of the year

31.03.2020 Rs.	31.03.2019 Rs.
85,055,977	86,367,422
9,356,153	8,636,742
9,891,514	10,935,674
(12,785,934)	(4,366,131)
91,517,710	101,573,707
(6,899,750)	(16,517,729)
84,617,960	85,055,977

The retirement benefit liability of the Company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method". The principal assumptions used in determining the cost of retirement benefits were:

Discount rate	9.80%	10.00%
Expected rate of salary increase	7.00%	12.00%

Retirement age	55 & 60	55 & 60
----------------	---------	---------

The amounts recognised in the comprehensive income are as follows:

Current service cost	9,891,514	10,935,674
Interest cost	9,356,153	8,636,742

The amount recognised in the other comprehensive income is as follows:

Actuarial (gain) / loss	(12,785,934)	(4,366,131)
-------------------------	--------------	-------------

Sensitivity analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation and defined benefit obligation would be ;

+1% point increase on discount rate	80,709,700	79,951,322
-1% point decrease on discount rate	88,934,560	90,039,335
+1% point increase on salary increment rate	88,786,697	90,430,540
-1% point decrease on salary increment rate	80,783,983	80,151,903

Maturity analysis of the payments

The following payments are expected on employee benefit plan - gratuity in future years.

Within the next 12 months	14,195,248	10,985,888
Between 1 and 2 years	21,939,681	19,127,784
Between 2 and 5 years	20,439,972	21,827,598
Between 5 and 10 years	17,343,718	19,906,566
Beyond 10 years	10,699,341	13,208,141
Total expected payments	84,617,960	85,055,977
Weighted average duration (years) of defined benefit obligation	4.33	7.41

25. Deferred tax liability

Balance at the beginning of the year

Amount originated / (reversed) during the year

- Statement of profit or loss (Note 09)

- Statement of other comprehensive income

Balance at the end of the year

31.03.2020 Rs.	31.03.2019 Rs.
183,323,390	163,405,636
(1,403,695)	(21,014,964)
2,203,792	40,932,719
184,123,488	183,323,390

25. Deferred tax liability Contd.,

Net deferred tax asset / liability are attributed to the following as at the year end;

	Property, plant & equipment	Right of use asset	Retirement benefit obligation	Provisions	Investment properties	Intangible assets	Total
	Rs	Rs	Rs	Rs	Rs	Rs	Rs
Temporary differences							
Balance as at 1 April 2018	187,588,515	-	(24,182,878)	-	-	-	163,405,636
Recognised in profit or loss	(10,956,227)	-	(573,115)	(12,723,070)	3,217,620	19,829	(21,014,964)
Recognised in other comprehensive income	39,992,400	-	940,319				40,932,719
Balance as at 1 April 2019	216,624,687	-	(23,815,674)	(12,723,070)	3,217,620	19,829	183,323,390
Recognised in profit or loss	2,974,771	(1,859,094)	122,645	(5,684,070)	1,904,000	1,138,052	(1,403,695)
Recognised in other comprehensive income	-	-	2,203,792	-	-	-	2,203,792
Balance as at 31 March 2020	219,599,458	(1,859,094)	(21,489,237)	(18,407,140)	5,121,620	1,157,881	184,123,488

26. Trade and other payables**Financial liability**

Trade creditors
DA bills payable
Accrued charges
Prepaid employee benefit
Other payables
Provision
Import control
Advances from customers

Non financial liability

Excise duty payable
Nations building tax
Value added tax

31.03.2020
Rs.**31.03.2019**
Rs.

84,197,524	60,647,774
276,309,301	20,919,942
56,728,425	46,459,568
2,574,723	3,303,727
196,051,383	178,943,884
4,651,201	11,749,146
11,330,588	8,391,340
13,553,301	6,280,684
645,396,446	336,696,065

3,525,247	1,804,880
(18,832)	2,552,429
(545,907)	7,158,789
2,960,508	11,516,098
648,356,954	348,212,163

27. Income tax payable/ (receivable)

Balance at the beginning of the year
Income tax for the year (Note 9.1)

Withholding tax
Income tax paid
ESC paid

Balance at the end of the year

(7,169,465)	25,352,700
40,091,809	23,217,106
32,922,344	48,569,807
(1,421,978)	(1,387,719)
-	(39,833,808)
(15,471,341)	(14,517,745)
16,029,026	(7,169,465)

28. Deferred service income

Deferred service income consists of the income received for under warranty charges for selected refrigerators washing machines and air conditioner.

31.03.2020
Rs.**31.03.2019**
Rs.**29. Amounts due to related parties**

Abans Environmental (Pvt) Ltd
Abans Marketing (Pvt) Ltd
Abans Auto (Pvt) Ltd
Abans Retail (Pvt) Ltd
AB Securitas (Pvt) Ltd
Crown City Developers (Pvt) Ltd
Abans Graphics (Pvt) Ltd
Sirius Technologies Services (Pvt) Ltd
Abans Logistics (Pvt) Ltd
ABS Gardiner Dixon Hall (Pvt) Ltd
Add Outdoor Advertising (Pvt) Ltd

429,653	178,035
4,284,644	2,433,456
-	193,668
98,197,509	98,038,466
4,492,709	4,537,917
-	3,946,533
-	104,878
998,748	276,493
6,124,774	1,112,489
305,770	120,507
231,305	317,025
115,065,112	111,259,467

Due to related parties balances are payable on demand and carry no interest, also does not hold any collateral.

Notes to Financial Statements

For the Year Ended 31st March 2020

59

Abans Electricals PLC
Annual Report 2019/2020

30. Related Party Disclosures

30.1 Details of Transactions carried out with related companies

Name of the related party	Relationship	Nature of Transaction	2019/2020 received/ (paid) Rs.	2018/2019 received/ (paid) Rs.
Abans PLC	Significant shareholder	Sales of Goods/Services Reimbursement of Warehouse Expenses Wharf Expenses Other Purchases	2,271,008,262 1,800,000 (11,960,744) (14,765,078)	3,690,374,341 12,406,500 (14,753,860) (44,386,368)
Abans Retail (Pvt) Ltd	Affiliate	Sales of Goods/ Services	162,700,851	85,178,377
Abans Marketing (Pvt) Ltd	Affiliate	Rent Expenses	(3,000,000)	(3,000,000)
Crown City Developers (Pvt) Ltd.	Affiliate	Logistic Expense Sales of goods/services	(9,607,580) 54,062,312	(24,091,594) -
Abans Engineering (Pvt) Ltd	Affiliate	Purchases Sales of Goods/Services Reimbursement of water electricity and rent	(8,545,722) 4,243,071 6,755,366	(2,411,475) 1,849,692 11,737,700
AB Transport (Pvt) Ltd	Affiliate	Freight Expenses	-	(6,007,637)
ABS Courier	Affiliate	Rent income Courier charges	1,500,000 (433,044)	1,500,000 (693,532)
Abans Finance PLC	Affiliate	Interest Income Invest in fixed deposits	11,430,585 -	5,708,932 (28,786,000)
AB Securities (Pvt) Ltd	Affiliate	Security Charges	(18,111,732)	(17,390,609)
Abans Environmental	Affiliate	Cleaning charges	(2,892,067)	(1,310,622)
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance Sales of goods/services	(2,367,313) 362,952	(1,177,158) -
Abans Logistic Pvt Ltd	Affiliate	Freight Expenses	(10,879,178)	(3,121,370)

The balance outstanding as at the reporting date disclosed under note 20 and 29. The above transactions have been carried out in normal commercial terms.

30.2 Recurrent transaction with related parties

Name of the related party	Relationship	Nature of transaction	Value of the related party transaction during the financial year ended 31 st March 2020	Value of the related party transaction as a % of equity	Value of the related party transaction as a % of total assets	Terms and condition of the related party transaction
Abans PLC	Significant shareholder	Sales of goods and services	2,271,008,262	159%	71%	Normal commercial terms
Abans Retail (Pvt) Ltd	Affiliate	Sales of goods and services	162,700,851	11%	5%	Normal commercial terms

Other than above transactions, There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

30.3 Non-Recurrent transaction with related parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

31. Transactions with key management personal (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the Board of Directors of the company and Chief Executive Officer.

	2019/2020 Rs.	2018/2019 Rs.
Post employee benefits	800,000	7,743,068
Short term employee benefits	9,893,280	13,791,431
	<u>10,693,280</u>	<u>21,534,499</u>

32. Commitments

There are no material commitments outstanding as at the reporting date.

33. Events after the reporting period

No circumstances have arisen since the statement of financial position date which would require adjustments to, or disclosure in the financial statements.

34. Contingent liabilities

There were no contingent liabilities as at the end of the reporting date other than guarantees given for loans and the pending litigation as mentioned below ;

Nature of the liability**Case No**

Case by Nishantha Manamperi against Abans Electricals PLC - As at 31st March 2020 , the case stood fixed for further trial has been fixed to be resumed on 29th June 2020.

DMR/2109/13

Case by Manjula Pushpakumara and Thushara Nishantha against Abans Electricals PLC - As at 31st March 2020 , the case stood fixed for further trial has been fixed to be resumed on 09th July 2020.

HC/ALT 47/16 HC/ALT 48/16

Case by H.D.D Balasooriya against Abans Electricals PLC - As at 31st March 2020 , the case stood fixed for further trial has been fixed to be resumed on 23rd June 2020.

HC/ALT/ 16/2018

35. Business segmental information

The company comprises the following three business segments:

Segment

Manufacturing and assembling

Services

Solar installation

Segmentation analysis is as follows ;

Business Segment

Turnover and Results

Revenue - Manufacturing and assembling

-Services

-Solar installation

Total

Profit for the year before taxation

Business Segment

Operating assets and liabilities

Segment assets

Segment liabilities

Business Segment

Other information

Capital expenditure

Recognition of right of use assets

Depreciation and amortization

Provision for retirement benefit obligation

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

Products & Services

Manufacture, assembling and sale of washing machines, refrigerators, cookers and freezers.

Installation, repair and maintenance, including all after sales services, of electrical & household appliances sold by Abans PLC.

Design, installation, maintenance & servicing of rooftop Solar PV systems.

2019/2020			2018/2019		
Manufacturing	Services	Total	Manufacturing	Services	Total
Rs	Rs	Rs	Rs	Rs	Rs
1,469,640,188	-	1,469,640,188	1,597,842,356	-	1,597,842,356
342,601,867	859,252,554	1,201,854,421	283,870,465	828,031,182	1,111,901,647
314,641,563	-	314,641,563	160,813,751	-	160,813,751
2,126,883,618	859,252,554	2,986,136,172	2,042,526,572	828,031,182	2,870,557,754
76,000,555	49,260,751	125,261,306	29,679,418	46,867,007	76,546,425
1,813,921,276	1,382,665,859	3,196,587,135	1,494,051,736	1,300,471,635	2,794,523,371
1,312,460,310	452,651,894	1,765,112,204	1,029,833,544	415,038,549	1,444,872,093
85,938,509	24,501,125	110,439,634	228,383,154	5,723,357	234,106,511
74,443,046	13,504,088	87,947,134	-	-	-
77,387,772	26,054,738	103,442,510	51,600,817	19,023,876	70,624,693
1,846,959	4,614,774	6,461,733	5,758,668	9,447,617	15,206,285

36. Financial risk management

Financial risk comprises the potential loss to earnings and / or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, Management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for long term borrowings and there by interest rate risk can be reduced. Short term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The DA (Documents against Acceptance) bills shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk), credit risk and liquidity risk.

1. Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Group's activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Foreign currency risk

The Company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure to foreign currency risk where it has foreign currency transactions which are affected by foreign exchange movements.

The Company imports considerable amount of its total product offerings which are subject to the risk of foreign exchange rate increase that would adversely affect cost of purchases.

The pandemic impacted on foreign exchange rates of the country due to loss of foreign currency inflows resulted by the disruption to key sectors that contribute to foreign currency inflows this resulted in an increase of USD exchange rate against the Sri Lankan Rupee from around Rs. 185.09 as at 13th March 2020 to Rs. 192.45 by 31st March 2020.

The Sri Lankan Rupee (LKR) witnessed a sharp depreciation against the US Dollar in March 2020. The company take measures to manage risk of LKR depreciation during the post lock down period through converting foreign currency supplier payments in to local currency bank loans. As explained above, the company exposed to foreign currency risk mainly from DA bills.

Sensitivity Analysis of the Exchange Rate Risk on DA Bills

	Foreign exchange value	Currency	Exchange rate	Rupee value as at 31 st March	Exchange rate Increase In Rs.1/-	Exchange rate Increase In Rs.2/-	Exchange rate Increase In Rs.3/-	Exchange rate Increase In Rs.4/-
			Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
31 st March 2020	1,179,236	Dollars	192.45	226,947,542	228,126,779	229,306,015	230,485,251	231,664,487
31 st March 2019	110,847	Dollars	174.33	19,324,130	19,434,977	19,545,824	19,656,671	19,767,518
Potential loss compared to 31 st March 2020					1,179,236	2,358,472	3,537,709	4,716,945
% of loss					0.52%	1.04%	1.56%	2.08%
Potential loss compared to 31 st March 2019					110,847	221,694	332,541	443,387
% of loss					0.57%	1.15%	1.72%	2.29%
31 st March 2020	231,380	Euros	213.56	49,413,890	49,645,270	49,876,650	50,108,030	50,339,409
31 st March 2019	-	Euros	197.80	-	-	-	-	-
Loss compared to 31 st March 2020					231,380	462,759	694,139	925,519
% of loss					0.47%	0.94%	1.40%	1.87%
Loss compared to 31 st March 2019					-	-	-	-
% of loss					0%	0%	0%	0%
31 st March 2020	-	GBP	238.79	-	-	-	-	-
31 st March 2019	6,637	GBP	240.45	1,595,811	1,602,448	1,609,085	1,615,722	1,622,358
Loss compared to 31 st March 2020					-	-	-	-
% of loss					0%	0%	0%	0%
Loss compared to 31 st March 2019					6,637	13,274	19,910	26,547
% of loss					0.42%	0.83%	1.25%	1.66%

36. Financial risk management Contd.,

b) Interest rate risk

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprice in a given period.

During the financial year consecutive reductions in policy rates and monetary easing policies by Central Bank of Sri Lanka to encourage banks and finance companies to reduce lending rates.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase / (decrease) in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movements in basis points	Effect on profit and equity	
	2019/2020 Rs.	2018/2019 Rs.
+/- 50	(1,204,190)	(1,904,664)
+/- 50	1,204,190	1,904,664

c) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

The Company is not exposed to equity risk as they do not have equity investments.

2) Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's trade receivables and amount due from related parties, financial investments at amortised cost.

A review of age analysis of trade receivables and follow-up meetings are carried out by the finance division with respective business unit managers on weekly basis.

The Company has taken necessary steps to monitor creditors more closely and frequently to ensure that the payables are settled on time.

However manufacturing division, produces as per their manufacturing plan sent by Abans PLC and most of the sales are to them, therefore 76.05% and 7.40% of their dues as of 31 March 2020 are towards the Abans PLC and to their close related parties respectively. It comprises 83.45% of total receivables as of 31 March 2020.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	Gross Exposure (Rs.)		Net exposure (Rs.)	
	As at 31.03.2020	As at 31.03.2019	As at 31.03.2020	As at 31.03.2019
Cash at bank	34,510,843	46,105,290	34,510,843	46,105,290
Amounts due from related parties	424,299,287	449,572,842	424,299,287	449,572,842
Trade and other receivables	247,776,229	185,798,862	247,776,229	185,798,862
Financial instruments at amortized cost	310,645,767	251,155,519	310,645,767	251,155,519

3) Liquidity risk

This is the risk that the Company will encounter in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. In the management of liquidity risk, the Company monitors and maintains a level of cash and cash equivalents deemed adequate by the management to finance the Company's operations and to mitigate the effects of fluctuations in cash flows. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, finance leases and bank loans. Access to sources of funding is sufficiently available.

In order to minimize the impact on the liquidity position, due to the Covid 19 outbreak the company has taken several initiatives which include applying for refinancing and rescheduling arrangements of banking facilities and curtailing of non-essential capital and revenue expenditures and deferment of some capital expenditures and recruitments. The company also taking measures to expedite the debtor recovery process and proactively engaging with suppliers to renegotiate of payment terms to manage the liquidity position.

As disclosed in Note 3(e) and 4.18, the Board of Directors is satisfied that the Company have adequate liquidity and business plans to continue to operate the business and to mitigate the increased liquidity risks arising from the business and movement restrictions made due to COVID-19 pandemic, for the next 12 months from the date of this report.

36. Financial risk management Contd.,

	Less than 3 months Rs.	3-6 months Rs.	6-12 months Rs.	Total Rs.
Current Liabilities				
31 March 2020				
Current liabilities, other than lease liability	912,162,354	219,547,733	189,899,305	1,321,609,392
Lease liability-SLFRS 16	5,156,568	5,318,641	11,152,909	21,628,118
	<u>917,318,922</u>	<u>224,866,374</u>	<u>201,052,214</u>	<u>1,343,237,510</u>
31 March 2019				
Current liabilities, other than lease liability	670,513,975	254,177,422	137,828,529	1,062,519,926
	<u>670,513,975</u>	<u>254,177,422</u>	<u>137,828,529</u>	<u>1,062,519,926</u>
Non Current Liabilities		1-3 Years Rs.	More Than 3 Years Rs.	Total Rs.
31 March 2020				
Borrowings		100,090,443	3,944,643	104,035,086
Lease liability -SLFRS 16		49,098,160	-	49,098,160
		<u>149,188,603</u>	<u>3,944,643</u>	<u>153,133,246</u>
31 March 2019				
Borrowings		96,472,800	17,500,000	113,972,800
		<u>96,472,800</u>	<u>17,500,000</u>	<u>113,972,800</u>

37. Summary of financial assets and liabilities

Summary of the financial assets and financial liabilities with the measurement type is as follows;

	Measured at fair value Rs.	Amortised cost Rs.	Total Rs.
31 March 2020			
Financial assets:			
Cash at bank and in hand	-	36,946,040	36,946,040
Amounts due from related parties	-	424,299,287	424,299,287
Trade and other receivables	-	230,662,949	230,662,949
Financial investments at amortised cost	-	310,645,767	310,645,767
Financial liabilities:			
Borrowings	-	623,412,001	623,412,001
Amounts due to related parties	-	115,065,112	115,065,112
Trade and other payables	-	645,396,446	645,396,446
31 March 2019			
Financial assets:			
Cash at bank and in hand	-	48,582,203	48,582,203
Amounts due from related parties	-	449,572,842	449,572,842
Trade and other receivables	-	155,786,560	155,786,560
Financial investments at amortised cost	-	251,155,519	251,155,519
Financial liabilities:			
Borrowings	-	632,088,368	632,088,368
Amounts due to related parties	-	111,259,467	111,259,467
Trade and other payables	-	336,696,065	336,696,065

Under LKAS 39, all of the above financial assets are categorised as loans and receivables.

General

Stated Capital	LKR	186,732,000
No. of Shares		5,110,560
Voting Rights	One vote per Ordinary Share	

Stock Exchange Listing

This issued shares of the Company are listed with the Colombo Stock Exchange.

Market Value

The transacted values of an Ordinary Share of Abans Electricals PLC are as follows;

	2020 LKR	2019 LKR
Highest Price	108.80	95.00
Lowest Price	45.00	51.00
As at Balance Sheet Date	60.30	52.00

Market Capitalization Value and Public Share Holding

The market capitalisation value of the Company as at 31st March 2020 is LKR 308,166,768.00 (LKR 265,749,120.00, 2019)

Float Adjusted Market Capitalization as at 31st March 2020 is LKR 145,269,814.44 (LKR 125,407,009.73, 2019)

The Company has complied with the minimum public holding requirement under Option 05.

Public Shareholding percentage as at 31st March 2020 was 47.14% (47.19%, 2019)

No of public shareholders as at 31st March 2020 was 1,569 (1,520, 2019)

Distribution of Equity as at 31st March 2020

Holdings	No. of Holders	No. of Holders %	Total Holding	Total Holdings %
1-1,000 shares	1,323	84.05	205,520	4.02
1,001-10,000 shares	211	13.41	611,250	11.96
10,001-100,000 shares	33	2.10	771,224	15.09
100,001-1,000,000 shares	6	0.38	1,327,387	25.97
Over 1,000,000 shares	1	0.06	2,195,179	42.96
Grand Total	1,574	100.00	5,110,560	100.00

Composition of Shareholding as at 31st March 2020

Category	No. of Holders	No of Holders %	Total Holding	Total Holding %
Individual	1,488	94.54	2,485,599	48.64
Institutional	86	5.46	2,624,961	51.36
Total	1,574	100.00	5,110,560	100.00

Analysis of Shareholders as at 31st March 2020

Category	No. of Holders	No of Holders %	Total Holding	Total Holding %
Resident	1,557	98.92	4,947,169	96.80
Non-Resident	17	1.08	163,391	3.20
Total	1,574	100.00	5,110,560	100.00

Twenty Major Shareholders of the Company

Name	31st March 2020		31st March 2019	
	No. of Shares	% of issued Capital	No. of Shares	% of issued Capital
ABANS PLC	2,195,179	42.95	2,195,179	42.95
MRS S. DUBASH	295,820	5.79	295,820	5.79
MRS A. PESTONJEE	293,438	5.74	293,438	5.74
MR R. PESTONJEE	226,872	4.44	226,872	4.44
MR P.N. PESTONJEE	199,952	3.91	199,952	3.91
BANK OF CEYLON NO. 1 ACCOUNT	196,305	3.84	196,303	3.84
MR A. J. M. JINADASA	115,000	2.25	115,000	2.25
DR K. POOLOGASUNDRAM	72,076	1.41	72,076	1.41
MR S. ABISHEK	51,436	1.01	51,436	1.01
DR S. YADDEHIGE	50,000	0.98	50,000	0.98
MR G.C. GOONETILLEKE	46,475	0.91	44,000	0.86
MRS B.S. RASANAYAGAM	43,680	0.85	43,680	0.85
MR A.J. DUBASH	38,808	0.76	38,808	0.76
TRANZ DOMINION,L.L.C.	31,611	0.62	31,611	0.62
MR S.S. SITHAMBARANATHAN	28,462	0.56	30,786	0.60
MR T. LIYANAGE	23,868	0.47	23,868	0.47
MR J.D. JORGE CALDERON	23,344	0.46	23,344	0.46
PEOPLE'S LEASING & FINANCE PLC/ DR.H.S.D.SOYSA & MRS.G.SOYSA	22,004	0.43	-	-
MR. G. C. W. DE SILVA	21,960	0.43	-	-
MR. R. E. RAMBUKWELLA	21,500	0.42	-	-
Others	1,112,770	21.77	1,178,387	23.06
Total	5,110,560	100.00	5,110,560	100.00

Value Added Statement

For the Year Ended 31st March

	2020			2019		
	Manufacturing	Service	Total	Manufacturing	Service	Total
Economic Value Generated						
Revenue	2,126,883,618	859,252,554	2,986,136,172	2,042,526,572	828,031,182	2,870,557,754
Finance Income	657,931	29,956,852	30,614,783	1,057,026	22,641,879	23,698,905
Profit on Sale of Assets	2,166,905	8,217,587	10,384,492	11,035,443	2,120,202	13,155,644
Other Income	32,450,099	8,909,347	41,359,446	26,325,676	6,895,136	33,220,812
Valuation Gain from Investment Property	-	6,800,000	6,800,000	-	9,040,000	9,040,000
	2,162,158,553	913,136,340	3,075,294,893	2,080,944,717	868,728,398	2,949,673,115
Economic Value Distributed						
Operating Cost	1,645,649,045	473,489,011	2,119,138,057	1,668,301,778	440,855,207	2,109,156,985
Employee Wages and Benefits	290,960,996	363,555,071	654,516,067	253,924,848	353,864,785	607,789,633
Payments to Providers of Funds - Equity	7,665,840	7,665,840	15,331,680	5,110,560	5,110,560	10,221,120
Payments to Providers of Funds - Debt	69,356,419	1,376,471	70,732,890	63,525,158	62,023	63,587,181
Payments to Government	25,797,503	14,294,306	40,091,809	9,423,646	13,793,460	23,217,106
Community Investment	579,867	220,502	800,369	902,734	50,500	953,234
	2,040,009,670	860,601,201	2,900,610,871	2,001,188,724	813,736,536	2,814,925,260
Economic Value Retained						
Depreciation	77,387,772	26,054,738	103,442,510	51,600,818	19,023,876	70,624,693
Profits after Dividends	44,761,111	26,480,401	71,241,512	28,155,176	35,967,987	64,123,163
	122,148,883	52,535,139	174,684,022	79,755,993	54,991,863	134,747,856

All Figures are in LKR

31 March		2020	2019	2018	2017	2016
Operating Results in LKR '000						
Revenue		2,986,136	2,870,558	3,492,566	4,028,610	3,506,809
Gross Profit		441,348	397,554	392,845	434,017	479,398
EBIT		202,539	144,017	154,356	159,937	180,957
Finance Cost		77,278	67,470	62,417	79,298	40,609
Profit before Tax		125,261	76,546	91,939	80,639	140,348
Tax Expense		38,688	2,202	48,238	25,239	41,525
Profit after Tax		86,573	74,344	43,701	55,400	98,823
Financial Position in LKR '000						
Property Plant & Equipment (PPE)		1,290,046	1,220,449	966,037	608,224	572,881
Non Current Assets other than PPE		429,759	339,385	202,279	147,586	131,374
Current Assets		1,476,782	1,234,689	1,424,676	1,724,440	1,313,034
Current Liabilities		1,343,238	1,062,520	1,161,260	1,507,926	1,066,761
Non Current Liabilities		421,875	382,352	252,467	132,065	172,556
Shareholders' Fund		1,431,475	1,349,651	1,179,265	840,259	777,973
Total Debt		623,412	632,088	413,040	723,228	559,996
Cash Flows in LKR '000						
Net cash flows from / (used in) Operating Activities		227,986	55,249	100,200	(37,201)	179,723
Net cash flows from / (used in) investing activities		(215,615)	(273,419)	(15,624)	(109,015)	(134,255)
Net cash flows from / (used in) financing activities		(36,507)	195,772	(29,051)	118,875	(31,232)
Net increase / (decrease) in cash and cash equivalents		(24,135)	(22,398)	55,525	(27,341)	14,236
Key Indicators						
Basic Earnings per Share	LKR	16.94	14.55	8.55	10.84	19.34
Dividend per Share	LKR	3.00	2.00	3.00	3.00	3.00
Interest Coverage	No. Times	2.62	2.13	2.47	2.02	4.46
Current Ratio	No. Times	1.10	1.16	1.23	1.14	1.23
Gearing (D/D+E)	%	30.34	31.90	25.94	46.26	41.85
Net Asset per Share	LKR	280.10	264.09	230.75	164.42	152.23
Market Price per Share	LKR	60.30	52.00	84.30	88.20	111.10
Return on Equity	%	6.05	5.51	3.71	5.56	12.70

Notice is hereby given that the THIRTY EIGHTH ANNUAL GENERAL MEETING of the Company will be held at Lotus Hall of Bandaranaike Memorial International Conference Hall (BMICH) at Bauddhaloka Mawatha, Colombo 07 on 23rd September 2020 at 3.00 pm for the following purposes.

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2020 and Report of the Auditors thereon.
2. To declare first and final dividend of Rs. 1/50 per share for the year ended 31st March 2020 as recommended by the Directors.
3. To re-elect Mr. Athula Siriwardena, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Athula Siriwardena, as a Director of the Company.
4. To re-elect Mrs. Dayangani Priyanthi Pieris, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mrs. D P Pieris as a Director of the Company.
5. To re-elect Mrs. Aban Pestonjee, Chairperson of the company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No.07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act (Refer to Note 1 below). The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.
6. To re-appoint M/S SJMS Associates, auditors and to authorize the Directors to determine their remuneration.

By order of the Board
Sgd.
Varners International (Private) Limited
Secretaries
Colombo.

19/08/2020

Notes;

1. A Notice was received from a shareholder of the Company giving notice of the intention to move the following as an Ordinary Resolution at the forthcoming Annual General Meeting of the Company with regard to the re-election of Mrs. Aban Pestonjee who retires at the above General Meeting.

"RESOLVED that Mrs Aban Pestonjee who is over seventy years of age be and is hereby re-elected as a Director of the Company and it is further specifically declared that the age limit of seventy years referred to in the section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mrs. Aban Pestonjee"
2. A member entitled to attend and vote at the meeting, is entitled to appoint a proxy to attend and vote on behalf of him / her and a Form of Proxy is attached (page 71) to this Report for this purpose. A Proxy need not to be a member of the Company.
3. The instrument appointing a proxy is required to be deposited at the Registered Office of the Company at No.498, Galle Road, Colombo 03 or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01 not less than forty eight (48) hours before the time fixed for the meeting.
4. A Form of Attendance is included in this report. Shareholders are requested to complete it and hand it over when attending the meeting.
5. For reasons of security, it is essential that you bring with you, your National Identity Card.

Health and Safety Guidelines

The Meeting will be held in compliance with the Health and Safety guidelines issued by the Ministry of Health and Indigenous Medical Services (Ministry of Health) and standards imposed by the venue to ensure the safety and well-being of all Meeting attendees. Please note that in compliance with such guidelines and standards;

1. All attendees will have to undergo a temperature check and sign a declaration form including contact details, historical and current health status, recent overseas travel history and exposure.
2. Persons who record temperature in excess of norms prescribed by the Ministry of Health will not be permitted into the Meeting
3. Persons with respiratory infections of any type including cough, cold, sore throat or exhibiting any other similar symptoms will not be permitted into the Meeting.
4. Physical contact such as shaking hands will not be permitted and attendees will not be permitted to linger or remain after the conclusion of the Meeting
5. Any person not adhering to the health and safety guidelines and standards, including wearing a mask and maintaining the minimum social distance required, will be requested to leave the Meeting
6. Food and beverage offerings are not guaranteed and may be limited in keeping with health and safety standards and regulations
7. As social distancing measures will be implemented, once the hall capacity is reached as per the relevant Government guidelines, members may not be permitted to enter

Attending the Meeting

Should a Member wish to attend the Meeting in person or through a Proxy (who is not a Director of the Company), such Member or their Proxy is requested to;

1. Arrive early in order to register, carry out mandatory health checks and fill in the required forms and avoid crowding
2. Wear a suitable face mask when attending the Meeting
3. Co-operate with the health and safety measures implemented by the Company, details of which are outlined in "Health and Safety Guideline" section, to be implemented at the Meeting as they are done in the best interest of the Meeting attendees.

Members and/or where Proxies are requested not to attend the Meeting if they are feeling unwell, exhibiting any signs or symptoms of Covid 19 or having been placed on quarantine or stay at home notices.

In the event the Company is required to take any further action in relation to the Meeting, in the best interests of the Meeting attendees due to the Covid 19 pandemic and/or any communications, guidelines, directives or orders issued by the Government of Sri Lanka, Notice of such action shall be given by way of an announcement to the Colombo Stock Exchange.

Due to the Covid 19 pandemic and prevailing health and safety guidelines issued by the Government of Sri Lanka, Members are encouraged to vote by Proxy through the appointment of a member of the Board of Directors to vote on their behalf and to include their voting preferences on the resolutions to be taken up at the Meeting in the Form of Proxy.

I/We *
..... being a shareholder / shareholders of Abans Electricals PLC., hereby appoint;

Mrs. Aban Pestonjee of Colombo or failing her

Behman Pestonjee of Colombo or failing him

Ms. Dayangani Priyanthi Pieris of Colombo or failing her

Athula Siriwardane of Colombo or failing him

Kumar De Silva of Colombo or failing him

Dinal Mario Rex Phillips of Colombo or failing him

..... of

(National Identity Card Number.....) as my/our proxy to represent me/us on my/our behalf at the Thirty Eighth Annual General Meeting of the Company to be held on and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Signed this day of 2020

Signature

Witness

01. If you cannot attend the Annual General Meeting and would wish one of the Directors or any other person to represent you, kindly perfect the Form of Proxy by filling in legibly your full name and address signing in the space provided and filling in the date of signature.
02. If the Form of Proxy is signed by an Attorney, the relative Power of Attorney should accompany the Form of Proxy for registration, if such Power of Attorney has not already been registered with the Company.
03. A Limited Liability or Corporate Shareholder should execute this proxy under its Common Seal or by its authorized attorney.
04. The completed Form of Proxy should be deposited at the Company's office, No. 498, Galle Road, Colombo 03, or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, at least 48 hours before the time appointed for the holding of the Meeting.

Form of Attendance

I / We* hereby record my / our* presence at the THIRTY - EIGHTH ANNUAL GENERAL MEETING of Abans Electricals PLC will be held at Lotus Hall of Bandaranaike Memorial International Conference Hall (BMICH) at Bauddhaloka Mawatha, Colombo 07 on 23rd September 2020 at 3.00 pm.

(1) Full Name of Shareholder					
(2) Share Certificate Number					
(3) National Identity Card Number					
(4) Address					
(5) Name of Proxy holder (if applicable)					
(6) National Identity Card Number of Proxy holder					
(7) Address of Proxy holder					
(8) Number of Shares held		CDS		Non CDS	

* Please delete what is inapplicable

.....
Signature of Shareholder

.....
Date

- Note
- (i) Shareholders are requested to bring this Form of Attendance when attending the meeting and hand it over at the entrance to the meeting hall.
 - (ii) Shareholders appointing proxies (other than Directors of the Company) to attend the Meeting are requested to indicate the National Identity Card number of the Proxy holder on the Form of Proxy and request the Proxy holder to bring along his / her National Identity Card.

NAME OF THE COMPANY	Abans Electricals PLC
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on the 25th of November 1981.
REGISTRATION NO	"PO 188 (Former Registration No.PVS 7974) The company was re-registered in accordance with Companies Act No. 7 of 2007 on 18th August 2008."
STOCK EXCHANGE LISTING	"Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7th March 1983."
REGISTERED OFFICE	No.498, Galle Road, Colombo 03.
WEB SITE	www.abansgroup.com
DIRECTORATE	Mrs. A. Pestonjee (Chairperson) Mr. B. Pestonjee Mr. Athula Siriwardane Mrs. D. P. Pieris Mr. Kumar De Silva Mr. D. M. R. Phillips
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank Commercial Bank of Ceylon PLC
LAWYERS	"Varners Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01."
AUDITORS	SJMS Associates, Chartered Accountants, No.2, Castle Lane, Colombo 04.
SECRETARIES	Varners International (Pvt) Ltd, Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
TELEPHONE NO	011-5776430
FAX NO	011-2635157

Notes

This image shows a full page of a document template designed for handwritten notes or essays. It features approximately 30 evenly spaced, horizontal grey lines across the entire width of the page. The lines are thin and light, providing a guide for writing without being distracting. There is no text, handwriting, or other markings on the page.

Notes

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

www.abansgroup.com